

CONTENTS

Vision, Mission Statements	2
Notice of the Annual General Meeting	3
Directors & Professional Advisers	4
Report of the Directors	5
Directors' Profile	6-7
Company Profile	8-10
Corporate Governance	11
Chairman's Report	12-15
Management Executives	16
Management Report	17-22
Statement of the Directors' Responsibilities	23
Independent Auditors' Report	24

FINANCIAL STATEMENTS

Income Statement	25
Balance Sheet	26
Statement of Changes in Equity	27
Cash Flow Statement	28
Notes To The Financial Statements	29-44

Appendix I: Five Year Financial Statements	45
Our Depot & Station Network	46
Proxy Form	47



OUR VISION, OUR MISSION

VISION

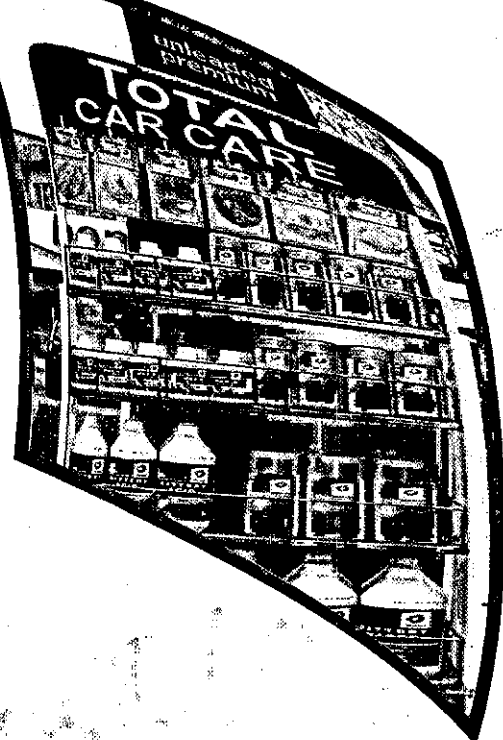
To be a leader in quality of our products and services

To be a leader in profitability and return to our stakeholders.

To be the most responsible and preferred company in the region.

MISSION

The purpose of TOTAL KENYA is to market quality petroleum products and services to its customers responsibly and profitably in an innovative way to ensure that the public will come and continue to turn to Total



NOTICE OF THE ANNUAL GENERAL MEETING

Notice is hereby given that the 53rd Annual General Meeting of the Company will be held at the Kenyatta International Conference Centre (KICC), Aberdares and Lenana Meeting rooms, Nairobi on Tuesday, 29 May 2007 at 3.00 p.m. to transact the following business:

1. To confirm the minutes of the 52nd Annual General Meeting held on 3 May 2006.
2. To receive and consider the Financial Statements for the year ended 31 December 2006 together with the Chairman's Statement and the reports of the Directors and Auditors thereon.
3. To declare a dividend of KShs 2.50 per share in respect of the financial year ended 31 December 2006.
4. To approve the Directors' fees for the financial year ended 31 December 2006.
5. To re-elect a Director:-

Mr A Champeaux retires in accordance with Article 97 of the Company's Articles of Association and, being eligible, offers himself for re-election.
6. To re-appoint Messrs Deloitte & Touche in office as the Auditors by virtue of Section 159 (2) of the Companies Act (Cap. 486) and to authorise the Directors to fix their remuneration for the ensuing financial year.

BY ORDER OF THE BOARD

J L G MAONGA
SECRETARY

Date: 2 April 2007

Note: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend and vote on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy, which is provided with this report, must be duly completed by the member and must be lodged at the Registered Office of the Company, Chai House, Koinange Street, P O Box 30736, 00100-Nairobi, or posted in time to reach not later than the close of business on 25 May 2007.

DIRECTORS & PROFESSIONAL ADVISERS

BOARD OF DIRECTORS

Hervé Allibert *
Bertrand Fontanges*
Alain Champeaux*
Olivier Berthaud*
Michael Karanja

Chairman
Managing (Also alternate to Hervé Allibert as Chairman)

Emmanuel Morand-Fehr* (Alternate to Bertrand Fontanges)
Joseph Adewa (Alternate to Olivier Berthaud)
Franklin Juma (Alternate to Alain Champeaux)

* French

SECRETARY

J L G Maonga
PO Box 30029-00100
Nairobi
Kenya

HEAD OFFICE AND REGISTERED OFFICE

Chai House Koinange Street
P O Box 30736-00100
Nairobi
Kenya

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
"Kirungii", Ring Road, Westlands,
P O Box 40092-00100
Nairobi
Kenya

ADVOCATES

Njoroge Regeru and Company
PO Box 46856-00100
Nairobi
Kenya

BANKERS

Citibank NA
PO Box 30711-00100
Nairobi
Kenya

SHARE REGISTRARS

Comprite Kenya Limited
PO Box 63428-00619
Nairobi
Kenya

REPORT OF THE DIRECTORS

The directors present their report together with the audited financial statements for the year ended 31 December 2006.

ACTIVITY

The principal activity of the company is the sale of petroleum products.

RESULTS

The results for the year are as follows:	Kshs'000
Profit before taxation	677,194
Taxation	(191,116)
Profit for the year transferred to revenue reserve	486,078

DIRECTORS

The present membership of the Board is set out on page 4. The changes in directorship during the year were as follows:

- Momar Nguer resigned as director and Chairman to the board on 1st January 2007 and was on the same date replaced by Hervé Allibert.
- Bertrand Fontanges resigned as an alternate director to Momar Nguer on 1st January 2007 and was on the same date appointed as alternate director to Hervé Allibert.
- Noubi Ben Hamida resigned as a director on 15th March 2007 and was on the same date replaced by Olivier Berthaud.
- Joseph Adewa resigned as an alternate director to Noubi Ben Hamida on 15th March 2007 and was on the same date appointed as alternate director to Olivier Berthaud.

DIVIDEND

The directors recommend a dividend of Kshs 2.50 (2005 Kshs 2.50) per share in respect of the year. The dividend is subject to withholding tax at a rate of 5% for residents and 10% for non-residents, unless specifically exempted.

AUDITORS

Deloitte & Touche, having confirmed their willingness, continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap 486).

BY ORDER OF THE BOARD

J L G Maonga

21st March 2007

DIRECTORS' PROFILE



<< HERVÉ ALLIBERT

Hervé Allibert aged 49 is a graduate of the French Business School ICN (Institut Commercial de Nancy). He joined the group in 1983; worked in several positions in marketing and international development in both Network Sector and Specialities. He was the Managing Director of Elf Olie Denmark in charge of Scandinavia from 1994 to 1998. Thereafter he took the position of Marketing General Manager of Total Overseas (Africa, Middle East and Carribean) in 2002. He was appointed Executive Vice President of North East Africa in January 2007.

BERTRAND FONTANGES >>

Mr. Bertrand Fontanges aged 45 holds an Engineering Degree from Ecole Centrale de Lille (former Institut Industriel du Nord), France. He has held several positions in the Total Group in operations and marketing in Europe and Africa from 1987 to 1997. Thereafter, he was the Managing Director of Total Portugal for four years. In 2001, he was appointed Strategy Manager Total Overseas (Africa, Middle East and Carribean) until 2003 when he moved to Total Lebanon as Managing Director, a post he held until August 2005 when he was appointed Managing Director, Total Kenya.



<< ALAIN CHAMPEAUX

Mr. Alain Champeaux aged 57 holds an Engineering Degree from Ecole Nationale Supérieure des Mines de Paris, France as well as a Masters of Arts in Economics from Stanford University, USA. He joined the Total Group in 1976. He has worked in several positions in Planning / Budget / Investment Projects as well as in the Network Sector in Europe. He became the Senior Vice President Marketing Europe in 1995 and has been the Senior Vice President of Africa / Middle East since 2002.

MICHAEL KARANJA >>

Mr. Michael Karanja aged 67, has a Bsc Degree from Makerere and a Diploma in Brewing from Heriot-Watt University-Edinburgh. He worked with Kenya Breweries for 36 years rising to the position of Deputy Chairman East African Breweries. He is the Chairman of Cooper Kenya Limited and Rhino Ark Trustees. He is also a Director of I&M Bank and several other companies.



DIRECTORS' PROFILE

OLIVIER BERTHAUD >>

Mr. Olivier Berthaud aged 30 holds a Master's degree in Strategy and Management of International Business from Ecole Supérieure des Sciences Economiques et Commerciales (ESSEC) and has an Industrial Engineer's degree from L'Institut National des Sciences Appliquées (INSA) of Lyon. He joined the Total Group in 2001 as the Economist for Middle East and North African Affiliates. After three years, he became the Economist in the Economic Department of Gas and Power. Since 2006, he joined the Financial Department of Total SA, Refining and Marketing.



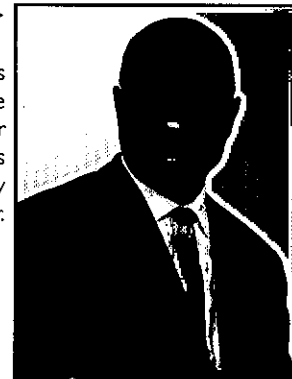
<< EMMANUEL MORAND-FEHR

Mr. Emmanuel Morand-Fehr aged 40, is a graduate of the High French Business School HEC (Hautes Etudes Commerciales) and has a degree in Economics from the French University Paris-2 Assas. He joined the Total Group in 1992. He worked in several positions in Finance Departments at Head Office in Paris between 1992 and 1999. He worked in Total Cote d'Ivoire for five years between 1999 and 2004 as the Finance Manager. He was appointed the Finance Manager of Total Kenya Limited in July 2004.



JOSEPH ADEWA >>

Mr. Joseph Adewa aged 57, a professional marketer who is currently the Deputy Managing Manager, having joined the Company as a Business Development Manager in 1990. Prior to joining Total Kenya, he worked at Kenya Breweries as District Manager (Inspectorate) and Kenya Oil Company Limited as Area Sales Manager.



<< FRANKLIN JUMA

Mr. Franklin Juma aged 35 has a B A degree from Panjab University, India and LLB degree from Goa University, India. He is an Advocate of the High Court of Kenya and is a Certified Public Secretary. He is a member of the Law Society of Kenya and the Institute of Certified Public Secretaries of Kenya. He joined the company in 2000 and was appointed Legal Manager in 2004.



J. L. G. MAONGA COMPANY SECRETARY >>

Mr Maonga aged 46, has a B A Degree from Nairobi University and is a Certified Public Secretary. He is a member of ICPSK and has over 20 years experience in Company Secretarial and Registration Services. He was appointed Company Secretary on 1st February 1999.



COMPANY PROFILE

The Eco Challenge continues to inspire

Total's Eco Challenge initiative, which inspires and enables all Kenyans to plant more trees, completed its third year with further impressive growth. There are now more than 1,600 independent projects throughout Kenya registered with the campaign, and their combined plantings in 2006 reached 60 million trees – double the previous year's achievement. Conservative projections are that our benchmark target of 100 million trees per year (every year) may be achieved in 2007, ahead of schedule. The challenge will then be to ensure that this capacity and commitment is maintained in the future.

The Total Eco Challenge was established in response to critical levels of deforestation which had reduced Kenya's forest cover to less than 2% of the country's land area. This degradation was already causing micro-climate change in key agricultural areas, and was tending towards a point of irreversible environmental damage, especially considering the pressure of 34 million people. That population and the pressure on the remaining forested land and demand for wood products is set to double by around 2020 – the time it will take trees planted now to reach maturity.

Based on this background, it is probable that tree planting is the single most urgent, important and overarching issue of Kenya's future. Total reasoned that unless the planting of 100 million trees per year was achieved and sustained, the consequential damage would undermine all other environmental factors and hence all social and economic potentials and development.

The Total Eco Challenge set itself and all Kenyans the task of promoting awareness, inspiring action and building capacity to achieve the planting target within five years, and to ensure that it is maintained thereafter.

Total's input has included national promotion and multi-media public education campaigns, production and distribution of information materials, direct technical support for projects, matching corporate funding to community needs, dedication of Total stations as tree centres for information and seedling supply, development support for tree nurseries, an awards system including appointment of Tree Ambassadors, web-site and technical hot-line services and more.

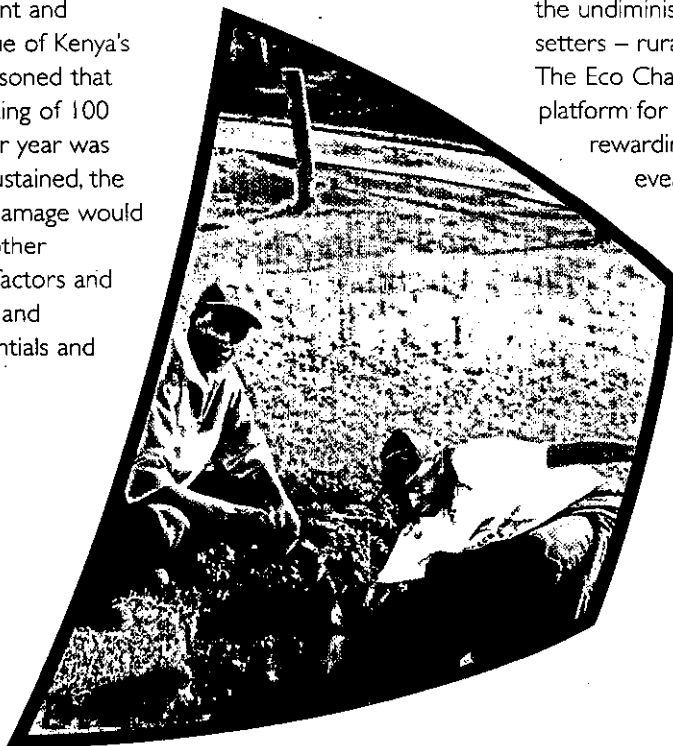


MITI NI MALI. MITI TOSHA!

After three years, the Eco Challenge has generated unprecedented awareness of the importance and value of trees and inspired action in all parts of the country at all levels of society. Project registrations and plantings have risen exponentially, planting techniques have improved in parallel and the number of different tree species being germinated and sought has also increased tremendously.

Other positive trends include an increasing number of projects instigated or funded by major corporations, and recently the direct involvement of state institutions such as urban councils and Armed Forces through their "Environmental Soldier" programme and the undiminished enthusiasm of the original pace-setters – rural communities and schools.

The Eco Challenge has become a major national platform for encouraging, enabling, recognizing, rewarding and further driving tree planting of every kind by everyone, everywhere. The concept and results are receiving international attention.



COMPANY PROFILE

Total's strategic view is that this is a very good start, and the company is pledged to even greater effort and progressive, dynamic input to inspiring tree planting in ever greater quantity and quality, to deliver a permanent change in attitudes and ensure Kenya's future environmental security and development prospects.

Health, Safety and Environment

Every company cares about the safety of people, property and the environment. But true safety requires more than a statement of policy and passive "caution" to avoid mistakes. The measure of real commitment to safety lies in positive action and results.

At Total, every operation is governed by active safety management.

- All possible risks are assessed
- Practices to actively avoid these risks are established
- Management procedures enforce, monitor and review these practices



- Equipment is designed, installed and maintained accordingly
- Personnel are trained in awareness, practices and emergency action
- Compliance with these standards is systematically and constantly checked
- Systems are in place to prevent and correct faults
- There are clear and ready emergency response mechanisms
- Any and every breach is recorded and analysed
- Any systems failure is redesigned to prevent recurrence

Examples of how this translates to specific operations:

Road Transport

Tankers distributing Total Kenya products to service stations and customers motor a total of more than 8 million kilometres per year. By statistical average, they would have 80 accidents per year, of which eight would be fatal.

Total Kenya has a multi stage program that incorporates measures such as:

- Ensuring transporters contracted by Total Kenya operate in accordance with business run according to the Total Africa Middle East Transport Improvement Plan.
- Ensuring all the drivers are trained with theoretical and practical knowledge of defensive driving and particularly the transporting of petroleum products
- Conducting a hazard analysis for all the major trunk routes used for transportation of petroleum products in Kenya, and briefing all drivers on this information
- Implementing a clear and constant dialogue on road safety with drivers at distribution depots.
- Delivering information through brochures and seminars for contracted drivers and Total Kenya staff on road safety and driving best practices.
- Undertaking a full analysis of any serious accident in order to identify and implement corrective actions in systems, equipment, and personnel training and communication programs.

In parallel, there are clear and ready mechanisms for emergency medical response, and product spill containment and clean-up.



COMPANY PROFILE

Total Kenya installations.

At any one time, Total Kenya's installations store in excess of 20 million litres of petroleum products which are inherently toxic, inflammable and explosive. Accordingly, all its installations:

- Are designed, built, maintained and managed to high international standards governing the storage and handling of hazardous materials.
- Conduct continuous occupational health training and implement safe work practices through detailed procedures, all staff are trained on risk awareness, risk prevention and emergency response.
- Have fully detailed emergency response plans covering all foreseeable contingencies, and fully trained emergency crews to take the fastest and most effective action in the event of injury, spill or fire.

Continuously review and improve the physical condition of installations to ensure equipment operates with optimum safety for users and the environment.

- Report all accidents and incidents to identify causes and implement corrective action.

These measures govern all operations, and take priority over any other aspect of those operations.

Quality

There is a clear two-way link between Safety and Quality Control. Total Kenya Limited was the first oil company in Kenya to achieve ISO 9000, and has maintained the standard for the following seven years.

ISO 9001

BUREAU VERITAS
Certification



Every phase of production and delivery is governed by strict and systemized procedures, to do all that is practically possible to ensure accuracy of product specification and absolute purity.

One procedure unique to Total is random checks against adulteration of fuel during transport, using covert chemical markers and a special test kit. Customers have unrivalled assurance that the fuel they buy at Total stations is pure and perfect.

The random test programme is one more demonstration of Total's attention to detail and commitment to constant improvement in the safety and quality of all its operations.



CORPORATE GOVERNANCE

Total Kenya Limited actively examines corporate governance matters which encompass among others the composition of the board of directors, implementation of internal control procedures, transparency in reporting and communication to shareholders, directors and employees compensation and code of conduct. We strive at all times to abide by the guidelines on corporate governance best practices issued by the Capital Markets Authority together with other stringent group guidelines on corporate governance.

As a general principle, Total observes the rule of free competition, rejects bribery and corruption in all forms, whether public or private, active or passive and strives to uphold the Universal Declaration of Human Rights. Total also respects the natural environment and cultural values of host countries while complying with all applicable laws and regulations. Total Kenya Limited is periodically subjected to independent audits on her application of the Group Code of Conduct in its operations. The organisation of internal control is based on key factors that are deeply rooted in the company and the group.

Board of Directors

The composition of the board is given on page 4 of this report. Directors are appointed by the shareholders on a three-year term and each undertakes to maintain the independence of his analysis, judgement, decision and action as well as not to be unduly influenced. The directors are also bound by the company and group code of conduct.

The board of directors' mission is to determine the strategic vision for the company as well as supervise the implementation of the vision. It also has the overall responsibility of ensuring that the company complies with all statutory and regulatory requirements and discharges its responsibilities to the company shareholders and other stakeholders.

Principals of control and risk evaluation

Internal control is structured into specific organisation procedures, a delegation of responsibilities and employee training that reflects the general framework of the company. The identification and analysis of the risks that could impact the achievement of the company's objectives is the responsibility of the

Board of Directors. The board is assisted by the Management Committee, which comprises of all heads of department in the company, and the Audit Committee.

Audit Committee

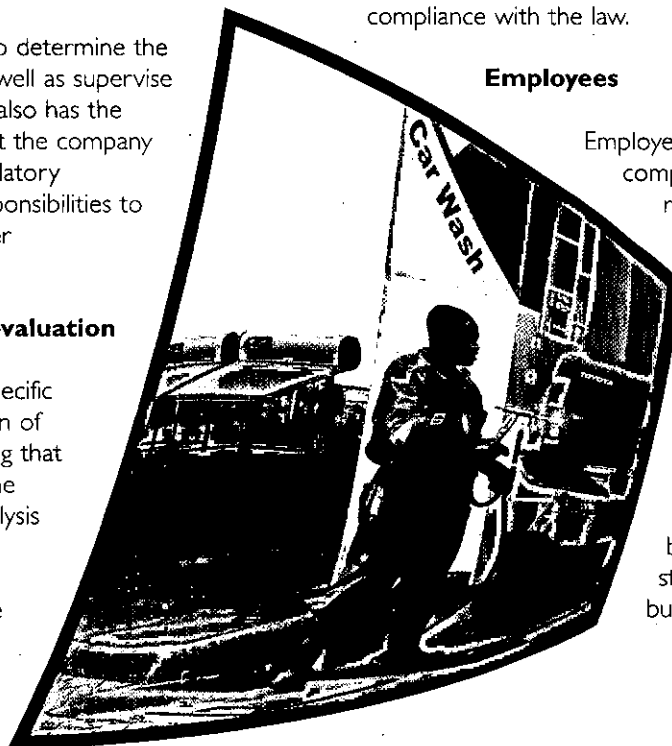
The board has established an Audit Committee made up of at least three directors, headed by an independent, non-executive director as its chairman. In selecting the members of the Audit Committee, the board pays particular attention to their financial and accounting qualifications and experience. The principal responsibilities of this committee include reviewing financial reports, internal audit reports, management letters and other information that it may require tabled before it. The committee holds at least four formal meetings each year which are also attended by the external auditors. It may also meet with the Managing Director, perform inspections and interview managers of the company as may be useful in performing its duties.

Communication with shareholders

The company provides timely and appropriate information to shareholders by way of the annual report and publication of quarterly accounts. Shareholders are also kept informed of all important events that impact on the company operation. The company maintains a policy of openness to the shareholders and other stakeholders and welcomes any enquiries that they may have on any issues of interest. Such enquiries are responded to timely and in compliance with the law.

Employees

Employee dialogue is a critical component of our employee relations policy. Among key employee relations activities are regular staff communication meetings, team building outings, performance evaluation and training, career management, safety briefs and a quarterly staff communication bulletin.



CHAIRMAN'S STATEMENT

TAARIFA YA MWENYEKITI

It gives me much pleasure to welcome you all to this 53rd Annual General Meeting of Total Kenya Limited. This also happens to be my first meeting as the Chairman of your company, having assumed this responsibility only recently upon joining the board. In so doing, I replaced your long-serving Chairman, Mr. Momar Nguer, whom I am sure you all know and have interacted with over the past years. Mr. Nguer has been re-assigned other responsibilities within our large group after such a distinguished service to your company, first as its Managing Director and later on as the Chairman. I hope you will all join me in wishing Mr. Nguer much success in his new position and to thank him for the dedicated service he gave to your company. In the same breath, it is my hope that I can count on you to extend to me the same level of support during my tenure in our wonderful company.

Turning to the performance of your company in the year 2006, we may say that there were quite a number of factors that affected our results, some positively and a majority of them negatively.

On the positive side, the Kenyan economy continued on the growth path of above 5% which contributed to the maintenance of strong demand in the inland oil market in spite of the progressive rise in products prices during the first half of the year. The drivers of the country's economic growth were sectors like tourism, transport and agriculture, which are also major consumers of our products. This impacted positively on overall demand and hence, our sales. Another positive impact on our performance was realised from the foreign exchange regime. The Shilling exchange rate against the dollar remained fairly stable in the course of the year and even strengthened in the last quarter. As you may be aware, the exchange rate usually has a significant effect on our business as all our product purchases are denominated in dollars. The stable exchange rate during the year helped to mitigate some of the international product price increases.

On the negative side, we experienced high and very volatile international oil prices. The ever-escalating world oil prices that started in 2005 did not ease until July 2006. These price increases were caused by a combination of factors, chief among them being increased demand for oil products across the globe, inadequacy of production and refining capacities and some political tensions present in some of the major oil producing areas. The result for us was obviously higher procurement costs for both crude and refined products during this period, with material consequences on our working capital requirements. Since August, international oil prices began to come down due to easing of both demand and political tensions. This led to a lot of pressure being applied by the Kenyan authorities on the oil industry players to reduce pump prices immediately, even though in the ordinary course of business it would take quite some time to turn around stocks.

Secondly, although we are beginning to witness some slight improvements, we continue to experience unacceptable delays in tax refunds for the various taxes that must now be paid upfront at the point of entry of oil products. We are



HERVÉ ALLIBERT
Chairman/Mwenyekiti

Inanipa furaha kubwa kuwakaribisha wote katika mkutano huu wa 53 wa kila mwaka wa Total Kenya Limited. Kadhalika, huu ndio mkutano wangu wa kwanza nikiwa kama mwenyekiti wa kampuni yenu, kwani nimekabidhiwa mamlaka haya hivi karibuni nilipojiunga na kamati. Nilichukua hatamu ya uongozi kutoka kwa Bwana Momar Nguer aliyehudumu kwa muda mrefu kama mwenyekiti na najua kwa hakika nyote mliwahi kushirikiana vyema naye kikazi kwa miaka mingi iliyopita. Bwana Nguer amepewa tena majukumu mengine kwenye kampuni hii yetu kubwa baada ya kutoa huduma bora kwa kampuni yenu, kwanza kama Mkurugenzi Mkuu na baadaye kama Mwenyekiti. Nadhani nyote mutaniunga mkono kumtakia Bwana Nguer mafanikio mema katika mamlaka yake mapya na kumshukuru kwa huduma za kujitolea alizofanyia kampuni yenu. Ni matumaini yangu pia mimi mtanipa kiwango hicho hicho cha ushirikiano kama huo katika hatamu yangu ya uongozi kwenye kampuni hii yetu nzuri.

Tukiangalia matukio ya kampuni yenu katika mwaka wa 2006, tunaweza kusema ya kuwa palikuwepo na vipengele vingi vilivyoathiri matokeo yetu, vingine vilikuwa vya kuboresha na vyenye uchanya na vingine vingi vilileta athari hasi.

Kwenye upande wa vipengele vya kujenga, uchumi wa Kenya uliendelea kukuwa kwa zaidi ya asilimia 5, jambo ambalo lilichangia kuendelea kwa ongezeko la mahitaji ya mafuta kinyume na matarajio, licha ya bei ya bidhaa hiyo kuendelea kupanda katika nusu ya kwanza ya mwaka. Sekta zilizokuwa mbele katika ujenzi wa uchumi zilikuwa kama sekta ya utalii, usafirishaji na kilimo ambazo hutumia sana bidhaa zetu. Kwa ujumla, hali hii ilisaidia kuongezeka kwa mahitaji na hivyo kuimarika kwa mauzo yetu. Kipengele kingine kilichosaidia utendaji kazi wetu kilikuwa katika upande wa ubadilishanaji wa fedha za kigeni. Kiwango cha kubadilisha fedha, Shilingi ya Kenya kwa Dola ya Marekani kilikuwa dhabiti mwakani na hata kikazidi nguvu katika robo ya mwisho wa mwaka. Kama mnavyojuwa, kiwango cha ubadilishanaji wa fedha huwa na

CHAIRMAN'S STATEMENT

TAARIFA YA MWENYEKITI

owed significant amounts in VAT and excise duty refunds while refunds on taxes on exports experience delays. These material amounts have a very negative impact on our working capital requirements and treasury and are seen in the increased financial charges.

The third negative factor that has affected our business during the year is the insufficient capacity of the pipeline to cope with the increased demand upcountry and in the neighbouring countries of Rwanda and Uganda. The constrained pumping capacity of the pipeline also has an effect on the available storage facility where duty free imported products are stored; leading to ullage allocation amongst the players in the industry that has caused us stock outs and affected our sales. We are happy that this situation is already being addressed, with the pipeline capacity enhancement project already in progress, estimate to be completed in the course of 2008.

In this context, the industry experienced lower margins on main products. In an environment of very stiff competition and pressure on local pump prices, we were unable to fully pass on increases in oil prices and costs.

Total Kenya's results in the light of the foregoing were reasonably good. Turnover of the company decreased by 6% as a result of global sales volumes reduction to 607 KMT from 757 KMT the previous year; partly compensated by a different mix of sales in the consumers channel with less fuel oil and more diesel sold, and by a higher average level of world oil prices.

One main contributor to the lower global sales volumes was the exports channel, affected by new tax regulations with the upfront payment of taxes and the associated delayed refunds that forced us to reduce sales to limit our exposure. Our inland market share moved from 21.8% in 2005 to an estimated 19.6% in the year under review, as a result of contrasted evolutions in the various channels.

Aviation sales as well as reseller sales decreased in a context of exacerbated competition and extremely depressed margins, whereas network, industrial consumers and LPG sales continued experiencing commendable levels of growth. The operating profit remained stable compared to the previous year at slightly under 1.1 billion Kenya Shillings, the decrease of 10% in gross profit being compensated by a reduction of operating expenses and gains realised on disposal of idle assets. Our net profit however declined by 9% to 486 million Kenya shillings in 2006 from 532 million Kenya shillings the previous year, as a

athari kubwa katika biashara yetu kwani bidhaa zetu zote hununuliwa kwa dola. Udhambi wa kiwango cha ubadilishanaji wa fedha ulisaidia mwaka huu kupunguza athari za ongezeko la bei za mafuta.

Katika upande wa athari hasi, tulikabiliana na bei za kimataifa za mafuta za juu sana zenye kubadilika mara kwa mara. Bei za mafuta hazikuwacha kuendelea kupanda kuanzia mwaka wa 2005 mpaka Julai 2006 zilipopungua. Upandaji huu wa bei ulisababishwa na vipengele vingi humu duniani, vikijumuisha upungufu wa uwezo wa utoaji na usafishaji wa bidhaa na misukosuko ya kisiasa inayozikumba nchi zinazotoa mafuta. Kulingana na vipengele hivi, kwetu sisi ilikuwa ununuzi wa mafuta yaliyosafishwa na ambayo hayajasafishwa kwa bei ya juu wakati huu, ikisababisha kuongezeka kwa mahitaji ya pesa za uwekezaji. Tangu mwezi wa Agosti, bei za kimataifa za mafuta zilianza kwenda chini kwa ajili ya upungufu wa mahitaji ya mafuta na mitutuko ya kisiasa. Hali hii ilielekea kuifanya Serikali ya Kenya kuwapa shinikizo wanabiashara wa viwanda vya mafuta kupunguza bei za mafuta kwa haraka, ikijulikana wazi ya kwamba katika biashara, kawaida inaweza kuchukua muda mrefu kuuza bidhaa zilionunuliwa kwa bei ya awali.

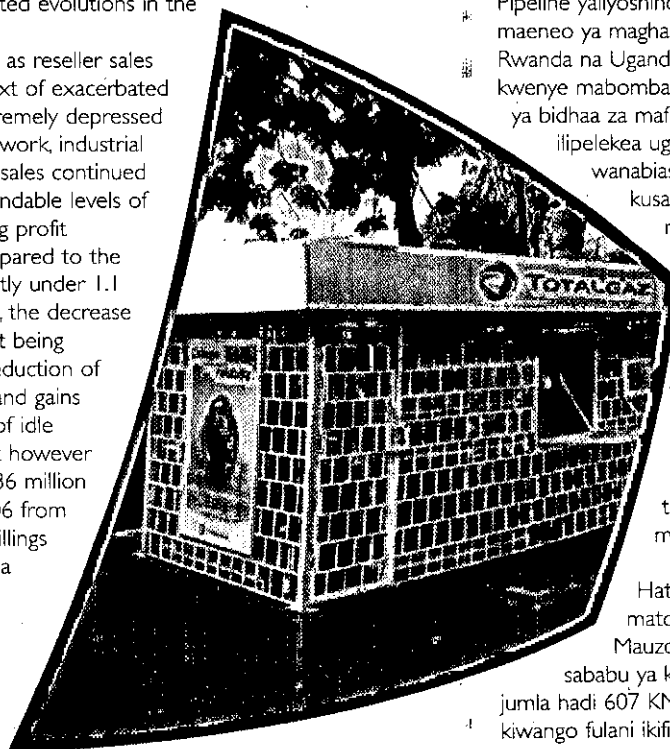
Pili, licha ya kuwa tunaanza kuona maendeleo kiasi, tunaendelea kushuhudia kucheleva kwa kulipwa malipo ya ushuru kwenye ushuru kadhaa ambao kwa sasa lazima ulipwe mwanzo kabla bidhaa za mafuta hazijaingia nchini. Tunadai Serikali viwango vikubwa vya Ushuru (VAT) na malipo ya ushuru wa forodha yaliyoahirishwa. Fedha tunazofaa kurudishiwa kutokana na malipo ya ushuru wa usafirishaji wa bidhaa nje ya nchi bado zinacheleva. Viwango hivi vya pesa vinasababisha kuongezeka kwa kiasi kikubwa mahitaji yetu ya pesa ya uwekezaji na vimepelekea kulipa pesa nyingi kwa mabenki.

Athari hasi ya tatu iliyoathiri biashara yetu mwaka uliopita ilitokana na uwezo duni wa mabomba ya kampuni ya Kenya Pipeline yaliyoshindwa kutosheleza mahitaji ya mafuta katika maeneo ya magharibi ya nchi au bara na katika nchi jirani za Rwanda na Uganda. Uwezo wa chini wa kusukuma mafuta kwenye mabomba pia ulikuwa na athari kubwa katika hifadhi ya bidhaa za mafuta za maduhuli zisizolipiwa ushuru; hii ilipelekea ugawaji mbovu wa bidhaa za mafuta kwa wanabiashara wa viwanda vya mafuta na

kusababisha upungufu wa bidhaa na kuathiri mauzo yetu. Tunafurahia ya kwamba kufikia sasa hali hii inatatuliwa, kwani mradi wa kuongeza uwezo wa bomba la mafuta unaendelea na unakadiriwa kukamilika kufikia mapema mwaka wa 2008.

Kufuatia matukio hayo, sekta hii ilishuhudia mapato ya chini kwa bidhaa zake. Katika mazingira yenye mashindano magumu na msukumo wa bei ya mafuta ya pampu, tulishindwa kupitisha ongezeko lote la bei za mafuta kwa wateja.

Hata ingawa kulikuwa na masuala hayo yote, matokeo ya Total Kenya yalikuwa mazuri kiasi. Mauzo ya kampuni yalipungua kwa asilimia 6 kwa sababu ya kupungua kwa kiwango cha mauzo kwa jumla hadi 607 KMT kutoka 757 KMT mwaka uliopita, kwa kiwango fulani ikifidiwa na mchanganyiko wa nyenzo za



CHAIRMAN'S STATEMENT

TAARIFA YA MWENYEKITI

direct result of the higher financial expenses. In spite of sound and tight management of our working capital requirement, the significantly higher financial expenses in 2006 were driven by the higher costs of products throughout the year. Consequently net earning per share went down to 2.78 Kenya Shillings in 2006 from 3.04 Kenya Shillings in 2005.

Overall, our investments in Kenya and links with Kenyans continued to grow. Our efforts in sustainable development, especially through our Eco Challenge initiative continued to gain recognition and win partnerships with other corporates and local communities. With more than 1,600 active projects now registered throughout the country and combined tree plantings for 2006 having doubled to 60 million, we are confident that our target of 100 million trees every year will be realised this year. I want you to be part of this achievement by planting at least a tree within this rainy season.

We have expanded our presence in the Network segment with the opening of four new sites in Karen, Oloolotikosh in Kajiado, Embakasi and at Belltop. We have also remodelled some of our old stations in Thika and Adam's Arcade, targeting better sales with increased diversification.

To improve on the efficiency in our service delivery and for enhanced controls, the company implemented SAP in May, 2006. This is an integrated information system that has been chosen by the group due to its very advanced security features and was already implemented in some of the other affiliates in Europe with excellent results.

Your company has not forgotten to invest in its most valuable asset: its staff. Other than the training and development opportunities we continue to give them, including expatriation in a number of cases, in 2006 we have implemented a

mauzo kwa makampuni. Tuliha kiwango kidogo cha mafuta mazito ya dohani (Fuel oil) na mafuta ya Dizel kwa kiwango kikubwa, na hivyo, kiwango kikubwa cha wastani cha bei za mafuta Ulimwenguni. Kilichochangia kusababisha kiwango cha chini cha mauzo ya bidhaa za mafuta kwa ukubwa ilikuwa sekta ya uuzaji nje bidhaa za mafuta. Hii ni kwa sababu ya kuhitajika kulipa ushuru kabla ya kuuza mafuta pamoja na kucheleweshwa kwa kurudishiwa ushuru tunaodai Serikali ndipo tukapunguza mauzo yetu kwenye sekta hii kujizuia kupata hasara kubwa.

Mgawo wetu wa soko ulishuka kutoka asilimia 21.8 mwaka wa 2005 hadi asilimia 19.6 katika mwaka uliopita, hii ilitokana na tofauti ya maendeleo katika mabadiliko kadhaa kwenye sekta mbali mbali. Mauzo ya bidhaa za mafuta katika sekta ya ndege na pia mauzo kwa wanunuzi wa kuuza tena bidhaa yalipungua kwa sababu ya ushindani uliokithiri na kubanwa kwa kiwango cha faida, wakati huo huo uuzaji wa rejareja na mauzo ya LPG yaliendelea kushuhudia ukuwaji mzuri. Faida ya utendaji kazi ilijidhibiti vilivyo na kubakia katika kiwango chake cha mwaka uliotangulia, ikiwa kidogo chini ya shilingi bilioni 1.1. Faida ya jumla ilipungua kwa asilimia 10 lakini ikafidiwa na kupunguka kwa matumizi ya shughuli za kibiashara na mapato yaliyotokana na uuzaji wa rasilimali zisizotumika katika utendakazi wa kampuni.

Hata hivyo, faida yetu halisi ilipungua kwa asilimia 9 hadi shilingi milioni 486 katika mwaka wa 2006 kutoka shilingi milioni 531 mwaka uliopita, hii likisababishwa na mahitaji ya juu ya pesa za uwekesaji. Matumizi ya juu ya fedha ya uendeshaji wa biashara mwaka wa 2006 yalisababishwa na bei ya juu ya bidhaa katika mwaka wote licha ya kuwa usimamizi wa kampuni ulikuwa umeimarika na mahitaji ya rasilimali kupigwa darubini kwa makini sana. Kwa sababu hiyo, kiwango cha mapato halisi kwa hisa moja yalishuka hadi shilingi 2.78 mwaka wa 2006 kutoka shilingi 3.04 mwaka wa 2005.

Kwa ujumla, uwekezaji wetu humu nchini Kenya na uhusiano wetu na wakenya uliendelea kukuwa. Juhudi zetu za maendeleo endelevu, hasa kupitia mradi wetu wa Eco Challenge tuliyoanzisha, umetufanya kufahamika nchi nzima na hata kupata ubia na mashirika au kampuni nyingine kubwa kubwa na pia kutufanya kuwa na ukaribu zaidi na jamii yetu. Kuwepo kwa zaidi ya miradi 1,600 iliyosajiliwa humu nchini na upandaji wa miti wa mwaka 2006 ukiwa umekuwa maradufu hadi milioni 60, tuna matumaini makubwa ya kwamba azimio letu la kupanda miti milioni 100 kila mwaka litafikiwa mwaka huu. Ninaomba mujiunge nasi katika mafanikio haya na mpande angalau mti mmoja tu katika kipindi cha msimu huu wa mvua.

Tumeweza kuboresha na kuimarisha mtandao wetu kwa kufungua stesheni nne kwenye maeneo ya: Karen, Oloolotikosh huko Kajiado, Embakasi na Belltop. Pia tumeweza kuzikarabati stesheni za kitambo kama vile Thika na Adam's Arcade, tukitarajia mauzo mazuri na ukuaji wa upanuzi wa biashara tofauti tofauti.

Ili kuongeza utendajikazi bora katika utoaji huduma zetu na kuleta udhibiti mzuri, kampuni ilitekeleza kuingizwa kwa mfumo wa kimtandao wa SAP mnamo Mei 2006. Huu ni



CHAIRMAN'S STATEMENT

TAARIFA YA MWENYEKITI

supplementary pension scheme that is intended to guarantee increased benefits for all our employees in retirement.

We expect for 2007 a comparable environment for the Kenyan oil industry, with oil prices still high and volatile. Supply and logistical constraints are still there, at least until upgrading of the pipe will have been completed. The outlook is again one of guarded optimism. We believe that economic growth Kenya has realised over these last two years could be sustained and this would translate into continued strong demand for our products in the major sectors of the economy. We are cognisant of the fact that 2007 is an election year in Kenya and the atmosphere under which they are conducted may have a bearing on the economic activity. However, we are encouraged by the experiences of the recent past where economic activity has continued to thrive, with minimal influence from the political arena. We have reason to believe this will be the case this year.

We have several planned investments aimed at consolidating our strong position as a major player in this market. With this in mind and taking our 2006 results into consideration, I am proposing a dividend similar to last year of 2.50 Kenya shillings per share for consideration and approval by the members.

On behalf of the board, I wish to pay tribute to the management and staff of Total Kenya Limited for their professionalism and dedication to duty. It is through their concerted efforts that your company has been able to face the challenges of this competitive market. I trust that with their continued commitment to this company, we shall be able to face the future challenges with confidence and hope. Once again, I wish to thank you all for coming and actively participating in the affairs of your company and for the warm welcome I have been accorded.

Hervé Allibert
Chairman



mfumo wa kimtandao unaojumlisha shughuli mbali mbali za kibiashara ambao umechaguliwa na kampuni ya Total, kufuatia umadhubuti wake wa uwezo mkuu wa vifaa vya kiusalama na pia kwa sababu tayari ulishatumiwa na baadhi ya kampuni shiriki za Total zilizo Uingereza na kuwapa matokeo mazuri sana.

Kampuni yenu haijasahau kuwekeza katika rasilimali yake muhimu zaidi; wafanyakazi wake. Zaidi ya kuwapa mafunzo na nafasi za kujiendeleza tunazoendela kuwapa kila kukicha ikiwa ni pamoja na kuwapa nafasi ya kufanya kazi katika mataifa ya nje, katika mwaka wa 2006 pekee tumeteteleza mradi wa ziada wa malipo ya pensheni ambao utahakikisha wafanyakazi wote wanapata marupurupu ya juu wanapostaafu kazini.

Katika mwaka wa 2007, hatutarajii mazingira ya kibiashara katika sekta hii ya mafuta hapa nchini Kenya kubadilika sana kwani bei za mafuta zingali juu na zinabadilika kila wakati. Matatizo ya usambazaji na mipangilio ya ushafirishaji wa mafuta bado yapo, mpaka wakati ambapo bomba kubwa la mafuta linalotengenezwa litakapokamilika. Hata hivyo, ombi letu kuu ni kwamba mandhari yatakuwa mazuri. Tunaamini ya kuwa ukuaji wa uchumi wa Kenya uliushuhudiwa katika kipindi cha miaka miwili iliyopita unaweza kuendelea na hiyo itawezesha kuwa na uhitaji mkubwa wa bidhaa zetu katika sekta kuu za uchumi wa Kenya.

Tunatambua ya kwamba mwaka 2007 ni mwaka wa uchaguzi hapa Kenya na hali ambayo uchaguzi huu utafanywa inaweza kuwa na athari katika uchumi. Hata hivyo, tunapewa motisha na matukio ya hapo awali ambapo shughuli za kiuchumi zimeendelea kukuwa, bila siasa kuathiri maendeleo haya. Kufuatia udadisi huo, tunaamini ya kuwa mwaka huu utakuwa wenye hali hiyo ya utulivu.

Tuna vitegauchumi vingi vilivyompangoni na vinavyotarajiwa kuimarisha nafasi yetu nzuri kama mojawapo wa viongozi wa soko hili. Tukilitafakari hili na kuchukua matukio yetu yote ya 2006, ninapendekeza mgao wa shilingi 2.50 kwa kila hisa kama ilivyokuwa mwaka jana, nikiwaachia nyinyi, wanahisa kuzingatia na kupitisha mgao huo.

Kwa niaba ya kamati, napenda kuwapongeza wasimamizi na wafanyakazi wote wa Total Kenya kwa weledi wao na bidii zao za dhati kwa kazi zao. Ni kupitia juhudi zao ndio kampuni hii imeweza kukabiliana na changamoto za soko hili lenye ushindani mkubwa. Ninaamini ya kuwa, kwa kuendelea kujitolea kwao kwa ajili ya kampuni hii, tutaweza kuzikabili changamoto za baadaye tukiwa na ujasiri na matumaini mengi.

Ningependa kuwashukuru tena kwa kuja na kuchangia vilivyo katika shughuli za kampuni yenu na kwa ukaribisho mzuri na madhubuti mulionipa.

Hervé Allibert
Mwenyekiti.

MANAGEMENT EXECUTIVES



1. Bertrand Fontanges (Managing Director), **2. Joseph Adewa** (Deputy Managing Director), **3. Lillian Kageenu** (Special Projects Manager), **4. Chris Kasima** (Strategy Manager) **5. James Kamau** (Health, Safety, Environment and Quality Manager), **6. Gilles du Réau** (Commercial Manager), **7. Adele Tura** (Human Resources and General Administration Manager), **8. Emmanuel Morand-Fehr** (Finance Manager), **9. Maurice K'Anjejo** (Corporate Affairs Manager), **10. Kevin Manuhwa** (Internal Audit Manager), **11. Partha Majumder** (Operations Manager).

Not in the picture: **Tom Maganga** (Planning & Supply Manager), **Jean-François Balay** (EA Lubes Manager), **Evans Mauta** (Exports Manager)

MANAGEMENT REPORT

OVERVIEW OF THE 2006 FINANCIAL YEAR FOR TOTAL KENYA LIMITED

Market conditions for the oil industry in Kenya during the year can be summarised as having been unfavourable. The industry faced a very challenging environment with high and very volatile international oil prices and various production uncertainties at the international level. Locally, business was affected by insufficient capacity of the pipeline leading to restrictions on importations, stock-outs and added logistical costs, uneconomical refining at KPRL, increase in road maintenance levy and threats for price control. There were increased financing costs resulting from the upfront payment of taxes on petroleum products as well as from prolonged delays in repayments of tax refunds. The combination of these and other factors led to the industry experiencing lower margins on main products sales mainly due to the inability to fully pass on the increases in oil prices and other costs to the final consumer in a context of very stiff competition.

The industry however benefited from reduced dumping of export products, increased compliance in tax payments, stability of interest rates and the appreciation of the Kenya Shilling against the US dollar.

The analysis of industry results reveal that Total Kenya's performance continue to rank favourably among the majors in terms of profitability, earning per share, dividend yield and return on capital employed.

Consumption of petroleum products in Kenya continued to register increases during the year, showing resilience against the high prices. The inland market for petroleum products is estimated to have grown by around 2%. This is attributed to growth in the tourism, construction, manufacturing and agricultural sectors.

SUMMARY OF RESULTS

Total Kenya global sales volumes decreased by 20% from 757 KMT in 2005 to 607 KMT in 2006. This is mainly due to lower sales to resellers and decreased sales in aviation, exports and bulk industry channels. Inland market sales went down by 8% from 594 KMT in 2005 to 547 KMT in the same period. Total Kenya inland market shares went down to an estimated

19.6% in 2006 from 21.8% in 2005, as a result of contrasted evolutions in the various channels.

The effect of the decrease in sales, which was partly compensated by the increase in international prices, resulted in a drop in net turnover by 9% from Kshs 33.5 billion in 2005 to Kshs 30.7 billion in 2006. Although sales volumes went down, indirect taxes increased mainly due to increase in Road Maintenance Levy by Kshs 3.20 per litre.

The gross profit decreased by 10% from Kshs 2,501 million in 2005 to Kshs 2,252 million in 2006 while the operating profit decreased by 2% from Kshs 1,082 million in 2005 to Kshs 1,066 million in 2006. Except for aviation, all the Company's business channels had positive contributions to the operating profit for 2006. The decrease in gross profit is explained by the decrease in sales and the inability to fully pass on to consumers the price increases due to the pressure exerted by the authorities and the public on oil companies to reduce pump prices, thus adversely affecting unit margins.

Other income increased significantly due to gains realised on disposal of idle assets. Operating expenses reduced by 11% mainly due to a decrease in provision for bad and doubtful debts.

Financial costs went up from Kshs 284 million in 2005 to Kshs 389 million in 2006. This was mainly attributable to the deterioration of the cash position by Kshs 777 million. Despite the strong effort put during the year to optimise the level of stocks and enforce customers' credit terms, the working capital requirements increased by Kshs 814 million mainly due to the impact of the Kengen EPP contract for supply of diesel won by the company during the year. The overall cash position was also affected by the payment of the Kshs 435 million dividend for 2005 financial year.

Investments during the year amounted to Kshs 395 million. These mainly related to construction works at various network and industrial consumer locations. The company also implemented a new software, SAP, and purchased various IT equipment.

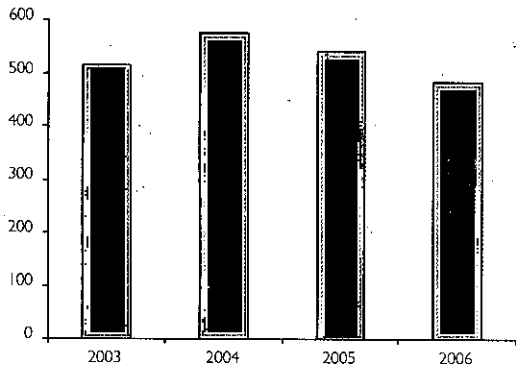
Profit before taxation decreased by 15% from Kshs 798 million in 2005 to Kshs 677 million in 2006, while profit after tax decreased by 9% from Kshs 532 million

MANAGEMENT REPORT (cont'd)

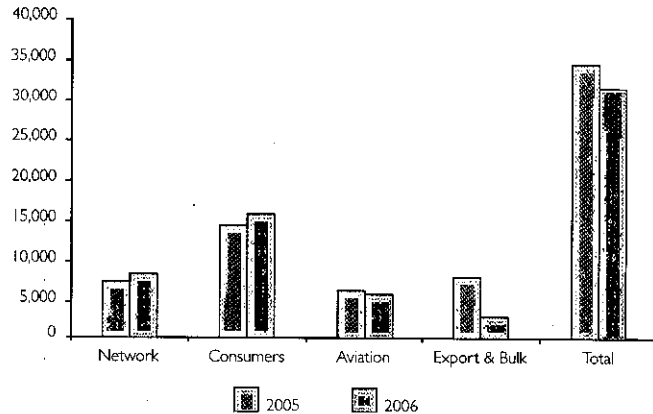
in 2005 to Kshs 486 million in 2006. This resulted in a decrease in earnings per share from Kshs 3.04 in 2005 to Kshs 2.78 in 2006.

- the Exports and Bulk channel, which comprises of sales of our full range of products to neighbouring countries and other industry players.

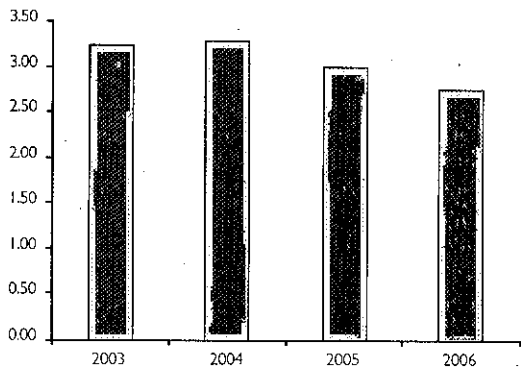
Net Income (M Kshs)



Net Sales per business channels (M Kshs)



Earning per share (Kshs)



ANALYSIS BY BUSINESS CHANNELS

The company's four business channels are:

- the Network channel, which includes the distribution of petroleum products through 104 service stations located across the country;
- the General Trade channel, which includes sales of a broad range of products to all sizes of industrial consumers;
- the Aviation channel, which comprises of sales of turbine kerosene and aviation gasoline to local and international air carriers;

i) NETWORK

The network market environment was difficult in 2006 mainly due to stiff competition and pressure on prices. The market grew by an estimated 9% (10% in 2005) and is projected to continue growing. Competition was fairer especially in western Kenya following the implementation of the new tax regulations in August 2005, leading to a 4% increase in volumes sold. There was however a slight decrease in network market share for Total Kenya from 15.8% in 2005 to 15.2% in 2006. As a result of the increase in sales and the rise in international prices, the net turnover in this channel went up from Kshs 6.8 billion in 2005 to Kshs 7.7 billion in 2006. Profitability of this channel remained at an acceptable level, with the company continuing to strategically rely on its nationwide presence and reputation for quality service.

The company continued widening its network. Four new stations were opened in Karen, Oloolotikosh, Embakasi and Beltop and remodelled other stations like Thika Town and Adams Arcade. The objective is to invest in areas where population and traffic are growing. The company also renewed and reinforced the network team which shares the values of dynamism, pro-activity and self motivation to increase the quality of service provided to our customers. The range of our services has continued to grow and diversify. In 2006

MANAGEMENT REPORT (cont'd)

we launched various car care products which come as an important complement to existing concepts like Bonjour for our shops, Auto Clean for car wash and Auto Express Service for pit stops. The Bon Voyage fuel card has remained popular amongst individuals and corporates and has ensured customer loyalty. Our objective is to remain competitive as we strive to fully meet the expectations of our customers.

Network – Key figures	2006	2005	%
Number of service stations	104	101	-
Market shares* (excl. LPG)	15.2%	15.8%	-0.6%
Volumes sold (excl. LPG) – K MT	121	116	+4%
Turnover – net of taxes (Kshs' million)	7,716	6,761	+14%

* Market shares for 2006 are estimates based on the latest official data known

ii) GENERAL TRADE

The General Trade market was stable in 2006, after increases of 13% in 2005 and 29% in 2004. This was as a result of lower demand by industrial fuel oil customers, mainly KTDA and other tea producers, following the drought experienced in most parts of the country towards the end of 2005 and in the first quarter of 2006. However, demand from other key economic sectors of the country like tourism, horticulture, manufacturing and roads and buildings construction continued to grow.

The company recorded lower sales in this channel which is explained by the decrease in sales to resellers and sales of industrial fuel oil. Volumes sold decreased by 12% in 2006 to 303 KMT compared to 343 KMT in 2005 while our market share went down from 25.1% in 2005 to an estimated 22.1% in 2006. On the LPG market, Total Kenya continued to grow, with sales increasing by 11% from 16.0 KMT in 2005 to 17.8 KMT in 2006. There is still a real potential for growth in this market and we hope that the ongoing reforms aimed at encouraging gas consumption in Kenya will soon start yielding positive results.

Turnover in this channel increased by 10% from Kshs 13.7 billion in 2005 to Kshs 15.0 billion in 2006. The financial contribution of this channel to the company's income remained at a satisfactory level.

Consumer – Key figures	2006	2005	%
Market shares* (excl. LPG)	22.1%	25.1%	-3.0%
Volumes sold (excl. LPG) – K MT	303	343	-12%
Turnover – net of taxes (Kshs'million)	14,963	13,657	+10%

* Market shares for 2006 are estimates based on the latest official data known

iii) AVIATION

The aviation market remained stable in 2006. In a context of exacerbated competition and extremely depressed margins we reduced our sales by 13% from 119 KMT in 2005 to 104 KMT in 2006. As a result, our market share went down from 20.7% in 2005 to 18.1% in 2006.

The decrease in volumes sold led to a decrease in turnover, from Kshs 5.7 billion in 2005 to Kshs 5.4 billion in 2006. As a result of the very stiff competition in this market, unit margins significantly decreased.

Aviation – Key figures	2006	2005	%
Market shares*	18.1%	20.7%	-2.6%
Volumes sold – K MT	104	119	-13%
Turnover – net of taxes (Kshs'million)	5,370	5,749	-7%

* Market shares for 2006 are estimates based on the latest official data known

MANAGEMENT REPORT (cont'd)

iv) EXPORTS AND BULK

Exports business continues to be adversely affected by the tax regulations introduced in August 2005 with most companies in the Eastern Africa region, which would ordinarily buy oil products from Kenyan companies, preferring to buy directly from offshore suppliers and transit through Kenya. Bulk sales to competitors are unpredictable and are subject to winning oil industry importation tenders.

Export sales went down by 54% from 85 KMT in 2005 to 39 KMT in 2006 while bulk industry sales went down by 73% from 78 KMT in 2005 to 21 KMT in 2006. Consequently, turnover generated by these activities decreased by 65% from Kshs 7.4 billion in 2005 to Kshs 2.6 billion in 2006.

SUMMARY OF FINANCIAL POSITION

Throughout the year, the operating environment was very challenging in terms of working capital management and financing. This called for a sound and market oriented financial management strategy. The Kenya Shilling appreciated against the US Dollar and interest rates slightly decreased to a range of between 6.5% to 7.5% from a range of between 8% to 9% the previous year.

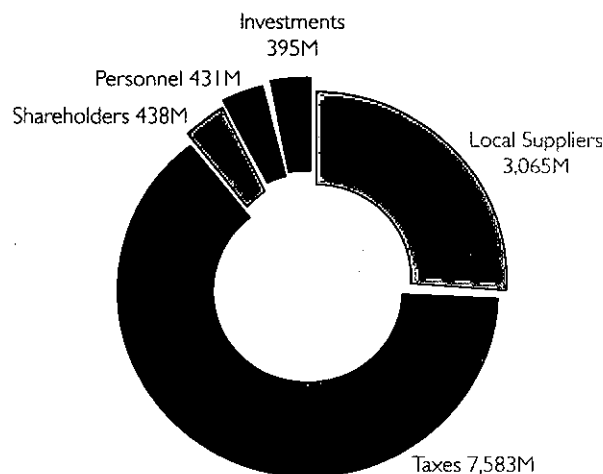
Due to the rise in international crude and oil products prices upto August 2006 and the financing requirements of the Kengen EPP contract won by the company in 2006, working capital requirements increased by Kshs 814 million. As a result, and inspite of the satisfactory level of our operating profit, cash flow generated from operating activities were negative Kshs 211 million as at 31 December 2006. Cash used in investing activities amounted to Kshs 131 million, mainly comprising of investments made in the network and LPG channels. This was partly compensated for by proceed from the sale of the two idle plots in Mombasa and Nairobi already mentioned. Cash used in financing activities amounted to Kshs 435 million, being the 2005 dividend paid. As a result of these, net cash and cash equivalents as at 31 December 2006 reduced by Kshs 777 million.

The net debt-to-equity ratio went up from 64% in 2005 to 80% in 2006 while the equity-to-total-liability ratio went down from 43% in 2005 to 30% in 2006. Proper monitoring of our working capital requirements will remain one of our priorities in the coming months in order to reduce our financial expenses. Various tax refunds are expected from the government within the first half of 2007, which will improve the company's cash flow position. The company's balance sheet remains solid, with net current assets of Kshs 1.8 billion, which positions it well to face the usual challenges of the business cycle and pursuit of profitable growth.

CONTRIBUTION TO THE KENYAN ECONOMY

Total Kenya has remained a key player in the Kenyan oil industry and the economy as a whole. During the year under review, the company continued to make a significant contribution to the Kenyan economy as it carried on with its business and corporate responsibility activities. Total Kenya was recognised as one of biggest tax payers in the country, having paid direct and indirect taxes of over Kshs 7.6 billion to the government during the year 2006. The total financial impact on the economy in 2006 was Kshs 11.9 billion (2005 Kshs 11.6 billion) comprising the following:

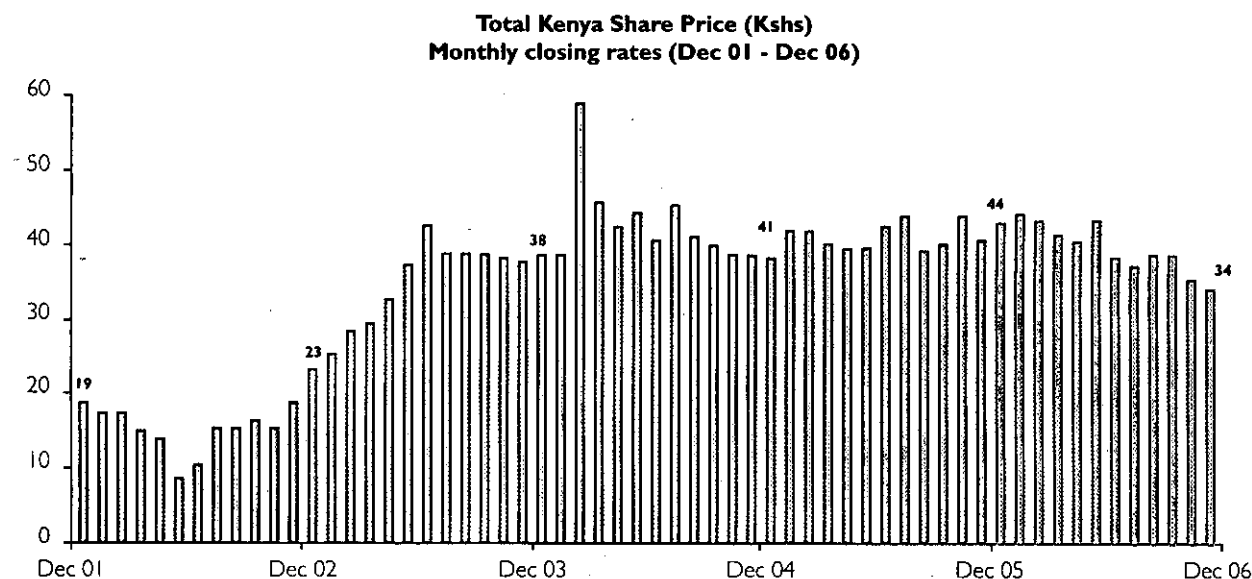
Contribution to the Kenyan economy 2006



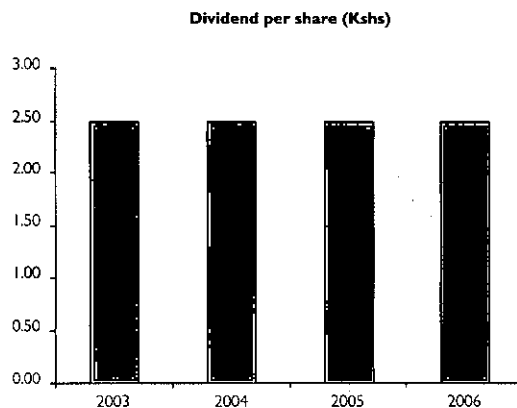
MANAGEMENT REPORT (cont'd)

SHARE PRICE AND PROPOSED DIVIDEND

During the year 2006, the share price fluctuated at between Kshs 42.5 and Kshs 34 per share. Total Kenya shares remained active and continue to have one of the highest dividend yields amongst companies quoted at the Nairobi stock exchange. The dividend yield at the close of the year was 7.4%.



In line the company's stable dividend policy the proposed dividend for the year is Kshs 2.50 per share, the same level as in the last three years.



MANAGEMENT REPORT (cont'd)

SHAREHOLDERS ANALYSIS

TOP TEN SHAREHOLDERS

	Number of shares	%
Total Outre-mer	126,327,070	72.16%
Total Africa Ltd	10,732,950	6.13%
Rajesh Dharamshi Shah	1,313,986	0.75%
John Kibuga Kimani	1,218,186	0.70%
Barclays (Kenya) Nominees Ltd A/C 1256	761,003	0.43%
DSL Nominees Ltd A/C 2210	603,863	0.34%
Barclays (Kenya) Nominees Ltd A/C 1853	549,013	0.31%
Jitendra Popatlal Mashru	527,080	0.30%
The Jubilee Insurance Company Ltd	516,736	0.30%
Joseph Emmett Benjamin	501,239	0.29%

SHARES DISTRIBUTION SCHEDULE

(i) By number of shares range	Number of shareholders	Number of shares
1 - 500	1,671	403,286
501 - 1,000	960	822,308
1,001 - 100,000	2,724	21,450,511
100,001 - 500,000	45	9,337,475
500,001 - 1,000,000	6	3,458,934
1,000,000 and over	4	139,592,192
Total	5,410	175,064,706
(ii) By category of shareholder		
Foreign institutions	3	137,063,520
Foreign individuals	42	1,336,326
Local individuals	4,768	25,347,163
Local institutions	597	11,317,697
Total	5,410	175,064,706

STATEMENT OF THE DIRECTORS' RESPONSIBILITIES

The Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company as at the end of the financial year and of the operating results of the company for that year. It also requires the directors to ensure that the company keeps proper accounting records which disclose with reasonable accuracy at any time the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances.

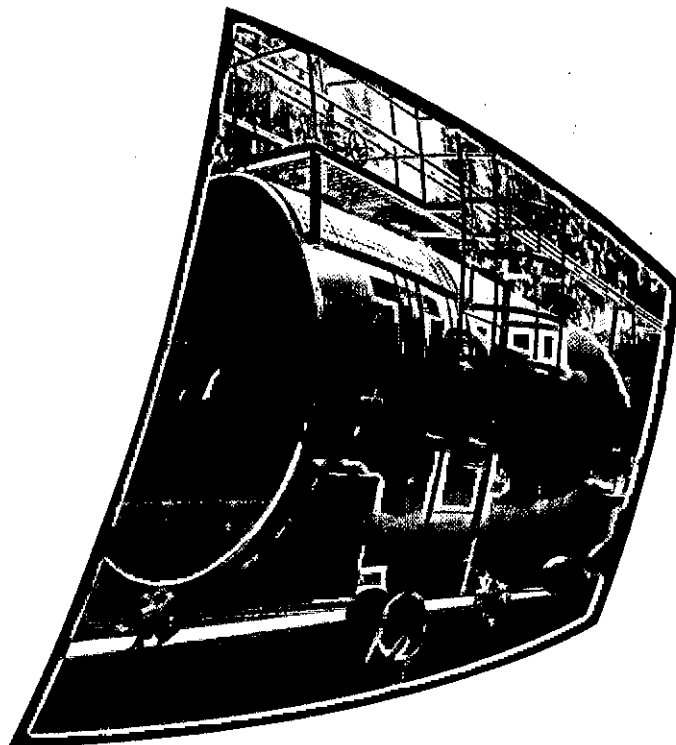
The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Bertrand Fontanges
Director

Michael Karanja
Director

21st March 2007



INDEPENDENT AUDITORS' REPORT

to the members of Total Kenya Limited

Deloitte.

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We have audited the financial statements of Total Kenya Limited set out on pages 25 to 44 which comprise the balance sheet as at 31 December 2006, and the income statement, statement of changes in equity and cash flow statement for the year then ended, together with the summary of significant accounting policies and other explanatory notes, and have obtained all the information and explanations which, to the best of our knowledge and belief, were necessary for the purposes of our audit.

Respective responsibilities of directors and auditors

The company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the provisions of the Kenyan Companies Act. This responsibility includes: designing, implementing and maintaining internal controls relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies, and making accounting estimates that are reasonable in the circumstances. Our responsibility is to express an opinion on these financial statements based on our audit.

Basis of opinion

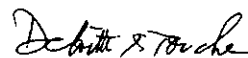
We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment and include an assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered internal controls relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by directors, as well as evaluating the overall presentation of the financial statements.

We believe that our audit provides a reasonable basis for our opinion.

Opinion

In our opinion, proper books of account have been kept by the company and the financial statements, which are in agreement therewith, give a true and fair view of the state of affairs of the company at 31 December 2006 and of its profit and cash flows for the year then ended in accordance with International Financial Reporting Standards and comply with the Kenyan Companies Act.



21st March 2007

Partners: D.M. Ndonye H. Gadhoke* D. C. Hodges* J.M. Kiarie M.M. Kisuu S.O. Onyango J.W. Wangai F.O. Aloo J. Nyang'aya

*British

A member firm of
Deloitte Touche Tohmatsu

INCOME STATEMENT

For the year ended December 31	2006 Kshs'000	2005 Kshs'000
Gross sales	38,052,875	40,547,536
Indirect taxes and duties	(7,391,454)	(6,998,039)
Net sales (Note 3)	30,661,421	33,549,497
Cost of sales (Note 4)	(28,408,979)	(31,048,530)
Gross profit	2,252,442	2,500,967
Other income (Note 5)	274,098	185,479
Depreciation and amortisation (Note 12 & 14)	(240,173)	(226,796)
Amortisation of prepaid operating leases (Note 13)	(19,687)	(6,164)
Impairment of prepaid operating leases (Note 13)	-	(16,100)
Other operating expenses (Note 6)	(1,200,930)	(1,354,940)
Operating profit	1,065,750	1,082,446
Finance charges, net (Note 7)	(388,556)	(284,256)
Profit before taxation	677,194	798,190
Taxation (Note 9)	(191,116)	(266,629)
Profit for the year	486,078	531,561
Earnings per share (basic and diluted) (Note 10)	Kshs 2.78	Kshs 3.04

BALANCE SHEET

As of December 31	2006 Kshs'000	2005 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment (Note 12)	2,054,452	1,992,632
Prepaid operating leases (Note 13)	300,499	405,650
Intangible assets (Note 14)	71,686	881
Goodwill (Note 15)	336,604	336,604
Deferred taxation asset (Note 16)	65,876	38,254
Total non-current assets	2,829,117	2,774,021
Current assets		
Inventories (Note 17)	6,049,585	2,902,972
Accounts receivable (Note 18)	4,558,518	3,209,989
Amounts due from related companies (Note 19(i))	598,746	525,223
Taxation recoverable (Note 9 (iii))	53,101	93,709
Call deposits (Note 20)		200,000
Bank and cash balances (Note 25(ii))	1,264,389	1,067,382
Total current assets	12,524,339	7,999,275
TOTAL ASSETS	15,353,456	10,773,296
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital (Note 22(ii))	875,324	875,324
Share premium (Note 21)	1,967,520	1,967,520
Revenue reserve	1,822,220	1,773,805
Shareholders' equity	4,665,064	4,616,649
Current liabilities		
Trade and other payables (Note 23)	5,379,352	1,471,192
Amounts due to holding company (Note 26)	212,794	334,381
Amounts due to related companies (Note 19(ii))	75,500	106,983
Unpaid dividends (Note 11)	6,746	4,469
Short term bank borrowings (Note 24)	5,014,000	4,239,622
Total current liabilities	10,688,392	6,156,647
TOTAL EQUITY AND LIABILITIES	15,353,456	10,773,296

The financial statements on pages 25 to 44 were approved by the board of directors on 21st March 2007 and were signed on its behalf by:

Bertrand Fontanges }
Michael Karanja } Directors

STATEMENT OF CHANGES IN EQUITY

for the year ended 31 December 2006

	Share capital Kshs'000	Share premium Kshs'000	Revenue reserve Kshs'000	Proposed dividend Kshs'000	Total equity Kshs'000
As of 1 January 2005	875,324	1,967,520	1,242,244	437,663	4,522,751
Dividends paid - 2004	-	-	-	(437,663)	(437,663)
Profit for the year	-	-	531,561	-	531,561
As of 31 December 2005	875,324	1,967,520	1,773,805	-	4,616,649
Dividends paid - 2005	-	-	(437,663)	-	(437,663)
Profit for the year	-	-	486,078	-	486,078
As of 31 December 2006	875,324	1,967,520	1,822,220	-	4,665,064

CASH FLOW STATEMENT

for the year ended December 31

	2006 Kshs'000	2005 Kshs'000
OPERATING ACTIVITIES		
Cash generated from operations (Note 25 (i))	380,438	1,659,512
Interest paid (Note 7)	(415,493)	(345,526)
Interest received (Note 7)	1,809	2,291
Taxation paid (Note 9(iii))	(178,130)	(379,647)
Net cash (used in)/generated from operating activities	(211,376)	936,630
INVESTING ACTIVITIES		
Purchase of property, plant and equipment (Note 12)	(332,780)	(719,143)
Purchase of leasehold land (Note 13)	(19,282)	(1,800)
Purchase of intangible assets (Note 14)	(43,431)	-
Proceeds on disposal of property, plant and equipment	6,149	25,807
Proceeds on disposal of leasehold land	258,735	143
Net cash used in investing activities	(130,609)	(694,993)
FINANCING ACTIVITIES		
Dividends paid (Note 11)	(435,386)	(436,439)
Net cash used in financing activities	(435,386)	(436,439)
Net decrease in cash and cash equivalent	(777,371)	(194,802)
Cash and cash equivalent as at 1 January	(2,972,240)	(2,777,438)
Cash and cash equivalent as at 31 December (Note 25 (ii))	(3,749,611)	(2,972,240)

NOTES TO THE FINANCIAL STATEMENTS

1. ACCOUNTING POLICIES

The financial statements have been prepared in accordance with International Financial Reporting Standards, issued by the International Accounting Standards Board (IASB), interpretations issued by the Standing Interpretations Committee of the IASB and applicable requirements of the Kenyan Companies Act.

The principal accounting policies adopted remain unchanged from the previous year except as stated below:

Adoption of new and revised International Financial Reporting Standards

At the date of authorisation of these financial statements, IFRS 7 on financial instruments disclosures and IFRS 8 on Operating Segments were in issue but not yet effective. The adoption of these Standards, when effective, will have no material impact on the financial statements of the company.

a. Basis of accounting

The financial statements have been prepared on the historical cost basis of accounting, modified by the revaluation of certain items of property, plant and equipment. The financial statements are presented in Kenya Shillings (Kshs) thousands.

b. Revenue recognition

Turnover, which represents sales to external customers during the year, is recognised upon delivery of products and customer acceptance and is stated net of value added tax, returns and rebates.

Interest income is recognised when it accrues, by reference to the principal outstanding and the interest rate applicable. All other revenues are recognised at the time goods are supplied or services are provided.

c. Business combinations

Acquisitions of subsidiaries and businesses are accounted for using the purchase method. The cost of the business combination is measured as the aggregate of the fair values at the date of exchange of assets, liabilities incurred or assumed, and equity instruments issued by the company in exchange for control of the acquiree, plus any costs directly attributable to the business combination.

Goodwill arising on acquisition is recognised as an asset and initially measured at cost, being the excess of the cost of the business combination over the company's interest in the fair value of the identifiable assets, liabilities and contingent liabilities recognised. If, after reassessment, the company's interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities exceeds the cost of the business combination, the excess is recognised immediately in profit or loss.

d. Goodwill

Goodwill arising on acquisition represents the excess of the cost of business combination over the fair value of the company's share of the net assets of the acquiree's identifiable assets, liabilities and contingent liabilities as at the date of acquisition. Goodwill is initially recognised as an asset at cost and is

subsequently measured at cost less any accumulated impairment losses.

For the purpose of impairment testing, goodwill is allocated to the cash generating units expected to benefit from the synergies of the combination. Cash generating units to which goodwill has been allocated are tested for impairment annually. If the recoverable amount of the cash generating unit is less than the carrying amount of the unit, the impairment loss is allocated to reduce the carrying amount of the goodwill allocated to the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period.

e. Intangible assets

Intangible assets represent computer software which is stated at cost less amortisation and any accumulated impairment losses.

Amortisation is calculated to write off the cost of the assets on a straight line basis over their estimated useful life of 3 years.

f. Leasehold land

Payments to acquire leasehold interests in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

g. Property, plant and equipment

Property, plant and equipment are stated at cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is calculated to write off the cost of property, plant and equipment in equal annual installments over their estimated useful lives.

The annual rates in use are:

Freehold land	Nil
Buildings	2% - 15%
Plant, motor vehicles and other equipment	5% - 25%
Furniture, fittings and office equipment	10% - 33.3%

h. Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises purchase price and other costs incurred to bring the inventories to their present location and condition, together with refining costs as appropriate. For products refined locally, costs are allocated over the refinery output in proportion to the appropriate world market prices. Net realisable value is the estimate of the selling price in the ordinary course of business. Specific provision is made for obsolete, slow moving and defective inventories.

i. Financial instruments

Financial assets and liabilities are recognized on the company's balance sheet when the company has become a party to the contractual provisions of the instrument.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

In connection with international trading activities, the company uses derivative instruments to adjust its exposure to expected fluctuations in the prices of crude oil and refined products. In order to hedge against this risk, the company uses various instruments such as currency swaps and forward exchange contracts on organized markets. All derivative contracts are marked-to-market and the related realized gains and losses are recorded in the income statement.

Accounts receivables

Accounts receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on the review of all outstanding amounts at the year end. Bad debts are written off when all reasonable steps to recover them have failed.

Short term bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on an accrual basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise. Interest and other finance charges are recognised as an expense in the period which they are incurred.

Trade payables

Liabilities for trade and other amounts payable are carried at cost which is the fair value of the consideration to be paid in future for goods and services received, whether billed or not.

j. Foreign currencies

Assets and liabilities denominated in foreign currency are translated into Kenya Shillings at the rates of exchange ruling at the balance sheet date.

Transactions during the year are converted into Kenya Shillings at the rates ruling on the transaction dates. Gains and losses on conversion and translation are dealt with in the income statement.

k. Operating leases

Payments made under operating leases are charged to the income statement on a straight line basis over the period of the lease. Any payment required to be made to the lessor by way of penalty, for termination of lease before the expiry of the lease period, is recognised in the year in which termination takes place.

l. Taxation

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with the tax legislation.

Deferred taxation is provided, under the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred tax. Deferred tax assets are recognised for all deductible temporary differences, carry forward of unusual tax

losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and the unused tax credits can be utilised.

m. Employee benefit costs

The company operates a locally registered defined contribution pension fund and an off-shore defined retirement benefits scheme for its employees. The assets of the schemes are held in separate trustee administered funds.

The schemes are funded by payments from both the employees and the company. Benefits are paid to retiring staff in accordance with the rules of each scheme.

The company also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statute and are currently limited to a maximum of KSHS 200 per employee per month.

Contributions by the company in respect of retirement benefit costs are charged to the income statement in the year to which they relate.

Employees' entitlements to annual leave are charged to the income statement as they fall due.

n. Dividends

Dividends on ordinary shares are charged to equity in the period in which they are declared.

o. Cash and cash equivalents

Cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which are within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Cash on hand and in banks and short term deposits which are held to maturity are carried at cost plus interest earned but not yet received at the balance sheet date.

p. Earnings per share

Earnings per share are calculated by dividing the net income by the weighted average number of ordinary shares outstanding during the year.

q. Impairment of assets

At each balance sheet date, the company reviews the carrying amount of its financial, tangible and intangible assets to determine whether there is any indication that the assets have suffered impairment. If any such indication exists, the assets recoverable amount is estimated and an impairment loss is recognised in the income statement whenever the carrying amount of the asset exceeds its recoverable amount.

r. Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

2. CRITICAL ACCOUNTING JUDGEMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the process of applying the entity's accounting policies, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision only affects that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date, that have a significant risk of causing material adjustment to the carrying amounts of assets and liabilities within the next financial year:

Impairment of goodwill

Determining whether goodwill is impaired requires an estimation of the value in use of the cash generating units to which goodwill has been allocated. The value in use requires the entity to estimate the future cash flows expected to arise from the cash generating unit and a suitable discount rate in order to calculate present value.

The carrying amount of goodwill at the balance sheet date was KSHS 336 million and no impairment loss was recognised during 2006.

Useful lives of property, plant and equipment

The company reviews the estimated useful lives of property, plant and equipment at the end of each annual reporting period.

3. NET SALES

The major part of the business of the company falls under the category of sale of petroleum products with other income comprising less than 5% of the total income. Net sales by business channel are shown below.

(i) Business channels

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
General trade	14,963,429	13,656,592
Network	7,715,697	6,761,442
Aviation	5,370,019	5,749,227
Export and bulk	2,612,276	7,382,236
Total net sales	30,661,421	33,549,497
(ii) Geographical analysis		
Local sales	29,120,807	29,469,632
Export sales	1,540,614	4,079,865
Total net sales	30,661,421	33,549,497

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

4 COST OF SALES

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Product purchases	26,997,574	29,485,517
Other variable costs	1,411,405	1,563,013
Total cost of sales	28,408,979	31,048,530

5. OTHER INCOME

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Rents and commissions	37,421	46,301
Profit on disposal of property, plant and equipment	2,736	10,360
Profit/(loss) on disposal of prepaid operating leases	53,989	(378)
Reversal of accruals and other credits	79,952	129,196
Total other income	274,098	185,479

6. OTHER OPERATING EXPENSES

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Directors' emoluments - fees	1,600	1,600
- other emoluments	20,607	12,377
Auditor's emoluments	3,960	3,600
Personnel expenses (Note 8)	410,213	358,891
Repairs and maintenance	175,780	146,442
Technical assistance	126,789	122,275
Operating lease rentals	70,508	70,189
Provision for obsolete and defective stocks		8,771
Provision for doubtful debts	7,929	176,750
Other expenses	383,544	454,045
Total other operating expenses	1,200,930	1,354,940

7. FINANCIAL CHARGES, NET

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Financial charge on borrowings	415,493	345,526
Financial income	(1,809)	(2,291)
Net gain on foreign exchange	(25,128)	(58,979)
Financial charges, net	388,556	284,256

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

8. PAYROLL AND STAFF

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Personnel expenses		
Wages and salaries	275,367	256,015
Pension costs – defined contribution plans	69,166	30,525
Provision for accrued leave	2,427	8,595
Other costs	63,253	63,756
Total personnel expenses	410,213	358,891
Average number of employees (permanent staff)	297	283

9. TAXATION

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
(i) Taxation charge		
Current taxation based on adjusted profit for the year at 30%	220,798	250,857
Prior year (overprovision)/underprovision	(2,060)	3,854
	218,738	254,711
Deferred taxation (credit)/charge (Note 16(ii))	(27,622)	11,918
	191,116	266,629
(ii) Reconciliation of taxation charge to expected tax based on accounting profit		
Accounting profit before taxation	677,914	798,190
Tax at the applicable rate of 30%	203,374	239,457
Tax effect of expenses not deductible for tax	38,825	25,932
Tax effect of income not subject to tax	(49,023)	(2,614)
Prior year (overprovision)/underprovision	(2,060)	3,854
Taxation charge	191,116	266,629
(iii) Taxation recoverable/(payable)		
Balance brought forward	93,709	(31,227)
Income statement charge	(218,738)	(254,711)
Payments during the year	178,130	379,647
Balance at 31 December	53,101	93,709

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

10. EARNINGS PER SHARE

Basic earnings per share is calculated on the profit for the year divided by the weighted average number of ordinary shares in issue during the year:

For the year ended December 31,	2006	2005
Profit after taxation (Kshs'000)	486,078	531,561
Weighted average number of ordinary shares on issue – basic (In thousands of shares)	175,065	175,065
Earnings per share (Kshs)	2.78	3.04

Diluted earnings per share

The diluted earnings per share is the same as basic.

11. DIVIDENDS

In May 2006, a dividend of Kshs 2.50 per share amounting to Kshs 438 million, relating to the year ended 31 December 2005, was paid to shareholders.

In respect of the current year, the directors propose that a dividend of Kshs 2.50 per share will be paid out to shareholders. This dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements. The total estimated dividend to be paid is Kshs 438 million.

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
The movement in unclaimed dividend is as follows:		
At 1 January	4,469	3,245
Final dividend declared	437,663	437,663
Dividend paid	(435,386)	(436,439)
Balance at 31 December	6,746	4,469

Payment of dividends to members with shareholding below 12.5% is subject to withholding tax at the rate of 5% for residents and 10% for non-residents. For companies incorporated in Kenya, withholding tax is only deductible where the shareholding is below 12.5%.

NOTES TO THE FINANCIAL STATEMENTS (cont')

12. PROPERTY, PLANT AND EQUIPMENT

	Land and buildings Kshs'000	Plant, motor vehicles and other equipment Kshs'000	Furniture, fittings and office equipment Kshs'000	Work in Progress Kshs'000	Total Kshs'000
COST					
1 January 2005	763,631	1,739,996	227,465	142,116	2,873,208
Reclassifications	(28,600)	-	(3,303)	-	(31,903)
Additions	113,866	367,992	25,501	211,784	719,143
Disposals	(1,577)	(39,474)	(505)	-	(41,556)
Transfer from work in progress	-	152,512	-	(152,512)	-
31 December 2005	847,320	2,221,026	249,158	201,388	3,518,892
1 January 2006	847,320	2,221,026	249,158	201,388	3,518,892
Additions	61,368	108,466	36,793	126,153	332,780
Disposals	(2,278)	(13,328)	(1,581)	-	(27,187)
Transfer from work in progress	-	98,107	6,230	(136,878)	(32,541)
31 December 2006	906,410	2,414,271	280,600	190,663	3,791,944
DEPRECIATION					
1 January 2005	222,307	949,820	156,973	-	1,329,100
Reclassifications	-	-	(1,708)	-	(1,708)
Charge for the year	31,134	164,124	29,719	-	224,977
Disposals	(1,057)	(24,547)	(505)	-	(26,109)
31 December 2005	252,384	1,089,397	184,479	-	1,526,260
1 January 2006	252,384	1,089,397	184,479	-	1,526,260
Charge for the year	7,044	197,910	30,052	-	235,006
Disposals	(2)	(13,378)	(10,394)	-	(23,774)
31 December 2006	259,426	1,273,929	204,137	-	1,737,492
NET BOOK VALUE					
31 December 2006	646,984	1,140,342	76,463	190,663	2,054,452
31 December 2005	594,936	1,131,629	64,679	201,388	1,992,632

Property, plant and equipment with a cost of Kshs 860,729,071 (2005 – Kshs 752,399,480) were fully depreciated at 31 December 2006. The notional depreciation charge in respect of these property, plant and equipment amount to Kshs 112,524,438 (2005 – Kshs 99,806,160).

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

13. PREPAID OPERATING LEASES

	2006 Kshs'000	2005 Kshs'000
COST		
At 1 January	510,613	480,963
Reclassification from land and buildings	-	28,600
Additions	19,282	1,800
Disposals	(123,799)	(750)
Write down of impaired land	(16,100)	-
At 31 December	389,996	510,613
AMORTISATION		
At 1 January	104,963	82,928
Amortisation for the year	19,687	6,164
Impairment loss	-	16,100
Write down of impaired land	(16,100)	-
Disposal	(19,053)	(229)
At 31 December	89,497	104,963
NET BOOK VALUE		
At 31 December	300,499	405,650

14. INTANGIBLE ASSETS

	2006 Kshs'000	2005 Kshs'000
COST		
At 1 January	31,861	28,558
Reclassification from furniture, fittings and office equipment	-	3,303
Additions	43,431	-
Transfers from work in progress	32,541	-
At 31 December	107,833	31,861
AMORTISATION		
At 1 January	30,980	27,453
Reclassification from furniture, fittings and office equipment	-	1,708
Charge for the year	5,167	1,819
At 31 December	36,147	30,980
NET BOOK VALUE		
At 31 December	71,686	881

The intangible assets relates to accounting, payroll and other computer software acquired by the company.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

15. GOODWILL

	2006 Kshs'000	2005 Kshs'000
COST		
At 1 January	336,604	448,804
Elimination of accumulated amortisation		(112,200)
At 31 December	336,604	336,604
AMORTISATION		
At 1 January		112,200
Elimination of accumulated amortisation		(112,200)
At 31 December		
IMPAIRMENT		
At 1 January		
Impairment loss recognised in the year		
At 31 December		
CARRYING AMOUNT		
At 31 December	336,604	336,604

The goodwill arose from the acquisition of a subsidiary, Elf Oil Kenya Limited, in March 2001. With effect from 1 January 2005, the operations of Elf Oil Kenya Limited were merged with those of Total Kenya Limited and this was achieved through a business sale agreement which resulted in the transfer of all Elf Oil Kenya Limited business, assets and liabilities to Total Kenya Limited.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to two cash generating units as follows:

- Network service station operations – cash flows and profits from acquired stations
- Rental fees income generation – fees paid by dealers operating acquired stations

Both units continue to generate positive cash flows and goodwill has been globally allocated to both. The recoverable amount of the cash generating units is based on value in use calculation which uses cash flow projections based on annual network business financial budgets and a long term business plan approved by management covering a five year period.

The cash flows from the cash generating units are based on expected return on capital invested at between 10% to 25% and a stable market share. Management is of the opinion that any possible reasonable change in these assumptions would not cause the global carrying amount to exceed the recoverable amount.

At 31 December 2006 no impairment loss was assessed.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

16. DEFERRED TAXATION ASSET**(i) The net deferred taxation asset is made up as follows:**

	2006 Kshs'000	2005 Kshs'000
Accelerated capital depreciation	(6,418)	(9,644)
Unrealised exchange differences	(30,348)	1,402
General provisions	(29,110)	(30,012)
Net deferred taxation asset	(65,876)	(38,254)
(ii) Movement on the deferred tax account is as follows:		
At 1 January	(38,254)	(50,172)
Income statement (credit)/charge (Note 9 (i))	(27,622)	11,918
At 31 December	(65,876)	(38,254)

Deferred taxation is estimated on all temporary differences under the liability method using the currently enacted tax rate of 30% (2005 - 30%).

17. INVENTORIES

As of December 31,	2006 Kshs'000	2005 Kshs'000
Refined products	5,591,501	1,963,558
Raw materials and crude oil	384,280	840,631
Consumables and accessories	100,931	141,422
Provision for obsolete and defective stocks	(27,127)	(42,639)
Total inventories	6,049,585	2,902,972

18. ACCOUNTS RECEIVABLE

As of December 31,	2006 Kshs'000	2005 Kshs'000
Trade receivables	3,432,836	2,591,691
Recoverable taxes	1,361,791	880,765
Other receivables and prepayments	295,833	320,839
Provision for doubtful debts	(531,942)	(583,306)
Total accounts receivable	4,558,518	3,209,989

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

19. RELATED PARTIES

(i) Amounts due from related companies

As of December 31,	2006 Kshs'000	2005 Kshs'000
Total Uganda	199,842	140,675
Total Tanzania	4,727	2,763
Fina Congo	29,237	102,928
Total Rwanda	59,280	118,409
NETCO	292,211	132,256
Other Total related companies	13,449	28,192
	598,746	525,223

(ii) Amounts due to related companies

As of December 31,	2006 Kshs'000	2005 Kshs'000
Total International	-	68,366
Total France	56,481	-
Other Total related companies	19,019	38,617
	75,500	106,983

20. CALL DEPOSITS

As of December 31,	2006 Kshs'000	2005 Kshs'000
Call deposit - Bank of Africa Limited		200,000
		200,000

The effective interest rate on call deposits was 9.44% per annum.

21. SHARE PREMIUM

As of December 31,	2006 Kshs'000	2005 Kshs'000
As of 1 January and 31 December	1,967,520	1,967,520

This is a non distributable reserve as per the requirements of the Kenyan Companies Act.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

22 SHARE CAPITAL

(i) Number of shares

As of December 31,	2006 in thousand of shares	2005 in thousand of shares
Authorised ordinary shares of Kshs 5 each	181,630	181,630
Issued and fully paid ordinary shares of Kshs 5 each:		
Ordinary shares	173,013	173,013
Ordinary Class A shares	2,052	2,052
Total issued shares	175,065	175,065

(ii) Issued share capital

As of December 31,	2006 Kshs'000	2005 Kshs'000
Authorised ordinary share capital	908,150	908,150
Issued and fully paid:		
Ordinary shares	865,067	865,067
Class 'A' ordinary shares	10,257	10,257
As of 1 January and As of 31 December	875,324	875,324

(iii) Shareholding structure

As of December 31,	2006 in thousand of shares	2005 in thousand of shares
Total Outre Mer	126,327	126,327
Total Africa Limited	10,733	10,733
Total stable shareholders	137,060	137,060
Class A shares	2,052	2,052
Other shareholders	35,953	35,953
Total issued shares	175,065	175,065

Class A ordinary shares relate to the shares held by the employees of the company and are not traded at the stock exchange. During the 2005 Annual General Meeting, the shareholders passed a special resolution allowing the conversion of class A ordinary shares to normal ordinary shares with effect from 1 January 2006. The conversion has not yet been effected as the necessary approvals have not been given by the Capital Markets Authority.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

23. TRADE AND OTHER PAYABLES

As of December 31,	2006 Kshs'000	2005 Kshs'000
Trade payables	4,958,484	1,137,196
Other payables and accruals	420,868	333,996
Total payables	5,379,352	1,471,192

24. SHORT TERM BANK BORROWINGS

As of December 31,	2006 Kshs'000	2005 Kshs'000
Bank overdrafts	-	11,622
Short term bank loans	5,014,000	4,228,000
Total short term borrowings and bank overdraft	5,014,000	4,239,622

Interest rates

The borrowings are repayable on demand or within three months and are unsecured. These facilities are primarily contracted with international banks. Interest on borrowings is based on prevailing money market rates. The weighted average interest rates paid on borrowings during the year were as follows:

For the year ended December 31	2006	2005
Average interest rate on short term borrowings	6.93%	8.42 %

Analysis by currency

As of December 31,	2006 Kshs'000	2005 Kshs'000
Kenya Shilling	5,014,000	2,792,622
United States dollar	-	1,447,000
Total short term borrowings and bank overdraft	5,014,000	4,239,622

Cash and cash equivalents

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

25. NOTES TO THE CASH FLOW STATEMENT

(i) Reconciliation of operating profit to cash generated from operations

For the year ended December 31,	2006 Kshs'000	2005 Kshs'000
Operating profit	1,065,750	1,082,446
Adjustments for:		
Net gain on foreign exchange (Note 7)	25,128	58,979
Depreciation (Note 12)	235,006	224,977
Impairment – prepaid operating leases (Note 13)		16,100
Amortisation – prepaid operating leases (Note 13)	19,687	6,164
Amortisation – intangible assets (Note 14)	5,167	1,819
Profit on disposal of property, plant and equipment	(2,736)	(10,360)
(Profit)/loss on disposal of prepaid operating leases	(153,989)	378
Operating profit before working capital changes	1,194,013	1,380,503
(Increase)/decrease in inventories	(3,146,613)	767,013
(Increase)/decrease in accounts receivables	(1,348,529)	288,470
Increase/(decrease) in trade and other payables	3,908,160	(1,089,408)
Decrease in amount due to holding company	(121,587)	(6,710)
Movement in balances with related companies	(105,006)	319,644
Cash generated from operations	380,438	1,659,512

(ii) Analysis of the balances of cash and cash equivalents as shown on the balance sheet

As at December 31,	2006 Kshs'000	2005 Kshs'000
Bank and cash balances	1,264,389	1,067,382
Call deposit		200,000
Bank overdrafts		(11,622)
Short term loans (Note 24)	(5,014,000)	(4,228,000)
Cash and cash equivalents	(3,749,611)	(2,972,240)

26. RELATED PARTY TRANSACTIONS

(i) Transactions with related companies

During the year the company made purchases amounting to Kshs 1,195 million (2005 – Kshs 5,604 million) from the holding company and other companies related to it by virtue of common shareholding. The company also earned revenue of Kshs 1,680 million (2005 – Kshs 1,811 million) from related companies.

The company purchased plant and equipment amounting to Kshs 114 million (2005- Kshs Nil) from the holding company and other companies related to it by virtue of common shareholding. The company also has technical assistance agreements with the holding company for which it paid fees for the year amounting to Kshs 126 million (2005- Kshs 122 million).

The amount due to the holding company in relation to these transactions is Kshs 213 million (2005 – Kshs 334 million). Other amounts due to/from related companies are shown on note 19.

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

26. RELATED PARTY TRANSACTIONS (Cont')

Sales and purchases to/from related parties were made on terms and conditions similar to those offered to major customers or available from major suppliers.

(ii) Key management compensation

The remuneration of directors and other members of key management was as follows:

As of December 31,	2006 Kshs'000	2005 Kshs'000
Salaries and other short-term employment benefits	43,267	32,719
Post-employment benefits	2,187	1,759
	45,454	34,478
(iii) Directors' remuneration		
Fees for services as a director	1,600	1,600
Other emoluments (included in key management compensation above)	20,607	12,377
	22,207	13,977

27. COMMITMENTS AND CONTINGENCIES**Guarantees and bonds**

As of December 31,	2006 Kshs'000	2005 Kshs'000
Total commitments given	697,087	1,061,849
Total commitments received	294,191	291,366

Commitments given include primarily customs bonds. The bonds are held in the ordinary course of business. No losses are anticipated in respect of these contingent liabilities.

Commitments received include primarily customer guarantees.

Commitments received/given are all held with local banks.

Capital commitments

Commitments related to construction work and purchase of assets at the year end for which no provision has been made in these financial statements are as stated below:

As of December 31,	2006 Kshs'000	2005 Kshs'000
Network and commercial installations	175,670	226,563
Plant and equipment	269,648	249,423
Accounting software	5,136	27,573
Office equipment, furniture and fittings	32,073	11,098
Total capital commitments	482,527	514,657

NOTES TO THE FINANCIAL STATEMENTS (cont'd)

27. COMMITMENTS AND CONTINGENCIES (Cont')**Foreign currency agreements**

In connection with international trading activities, the company uses derivative instruments to adjust its exposure to expected fluctuations in the prices of crude oil and refined products. In order to hedge against this risk, the company uses various instruments such as currency swaps and forward exchange contracts on organized markets.

Commitments and contingencies related to the company's financial derivatives activities as at year-end were nil. Any amounts that would be outstanding would normally indicate the levels of notional involvement by the company and are not indicative of an unrealized gain or loss.

Legal claims

Two legal claims have been made against the company, one by a former employee and the other by a customer. In both cases, the plaintiffs are suing for some specific and general damages which the company has disputed. The cases are on going and the likely outcome is unknown. However, based on information currently available, the directors are of the opinion that the ultimate resolution of these cases would not have a material effect on the company's operations, financial position or liquidity.

Industry dispute

The company is involved in a dispute with other oil companies over the price to be applied for the re-invoicing of November 2004 industry crude import which was shipped by the company under the contractual arrangements of the Open Tender System (OTS). The matter was determined during the year in the company's favour but one oil company has lodged an appeal whereas other oil companies want the dispute referred to arbitration. The company directors and legal advisers are of the opinion that the final decision will be in the company's favour. The total amount in dispute over the tender is Kshs 106 million, which has been fully provided for in the financial statements.

28. OPERATING LEASE COMMITMENTS

As of December 31,	2006 Kshs'000	2005 Kshs'000
Maturing within one year	9,436	8,923
Maturing over one year to five years	25,634	35,070
Total operating lease commitments	35,070	43,993

All the commitments relate to future rent payable for the head office (Chai House) based on the existing contracts.

29. FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES

The directors consider that the fair values of financial assets and liabilities are not significantly different from their carrying values.

30. ASSETS PLEDGED AS SECURITY

As at 31 December 2006, there were no assets pledged by the company to secure liabilities.

31. INCORPORATION

Total Kenya Limited is a limited liability company incorporated and domiciled in Kenya under the Kenyan Companies Act. The parent company is Total Outre Mer while the ultimate holding company is Total S.A, both incorporated in France.

32. CURRENCY

The financial statements are presented in Kenya Shillings thousands.

APPENDIX I

FIVE-YEAR SUMMARIZED BALANCE SHEET AND INCOME STATEMENT

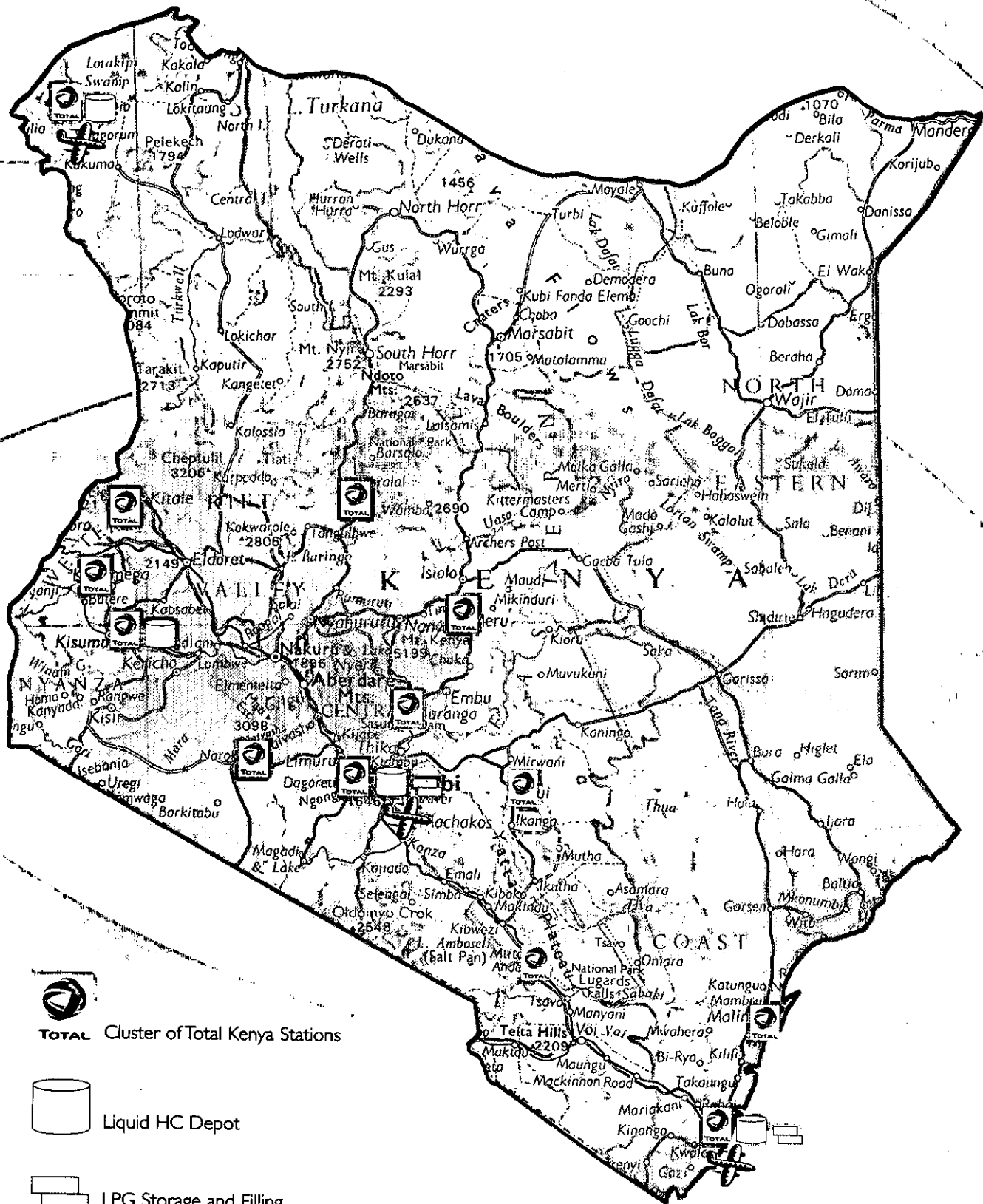
i) INCOME STATEMENT

For the year ended December 31,	2006	2005	In Million Kshs 2004	2003	2002
Gross sales	38,052.9	40,547.5	37,628.1	22,393.2	16,291.3
Indirect taxes and duties	(7,391.5)	(6,998.0)	(5,870.7)	(3,660.9)	(3,627.7)
Net sales	30,661.4	33,549.5	31,757.4	18,732.3	12,663.6
Cost of sales	(28,409.0)	(31,048.5)	(29,148.5)	(16,739.3)	(10,767.1)
Gross profit	2,252.4	2,501.0	2,608.9	1,993.0	1,896.5
Expenses and other income	(1,186.7)	(1,418.6)	(1,547.1)	(1,232.8)	(1,186.0)
Operating profit	1,065.7	1,082.4	1,061.8	760.2	710.5
Interest charges, net	(388.5)	(284.3)	(130.2)	(3.6)	(89.0)
Exceptional charges, net	-	-	-	-	(16.7)
Profit before taxation	677.2	798.1	931.6	756.6	604.8
Taxation	(191.1)	(266.6)	(354.6)	(241.7)	(244.6)
Net profit for the year	486.1	531.5	577.0	514.9	360.2

ii) BALANCE SHEET

As of December 31,	2006	2005	In Million Kshs 2004	2003	2002
ASSETS					
Non-current assets					
Property, equipment and leases	2,355.0	2,398.3	1,942.1	1,806.4	1,880.5
Goodwill	336.6	336.6	336.6	366.5	396.4
Other intangible assets	71.7	0.8	1.1	5.0	15.4
Deferred taxation	65.8	38.3	50.2	82.7	74.7
Total non-current assets	2,829.1	2,774.0	2,330.0	2,260.6	2,367.0
Current assets					
Inventories	6,049.6	2,903.0	3,670.0	3,182.0	1,268.0
Other current assets	5,210.3	3,828.9	4,247.9	2,036.7	2,239.5
Cash and cash equivalent	1,264.4	1,267.3	300.8	380.7	237.7
Total current assets	12,524.3	7,999.2	8,218.7	5,599.4	3,745.2
TOTAL ASSETS	15,353.4	10,773.2	10,548.7	7,860.0	6,112.2
EQUITY AND LIABILITIES					
Capital and reserves					
Share capital	875.3	875.3	875.3	840.4	779.6
Share premium	1,967.5	1,967.5	1,967.5	1,741.4	1,348.2
Revenue reserves	1,822.2	1,773.8	1,242.2	1,102.9	994.7
Proposed dividends – gross	-	-	437.7	437.7	297.6
Total capital and reserves	4,665.0	4,616.6	4,522.7	4,122.4	3,420.1
Current liabilities					
Trade and others	5,674.4	1,917.0	2,947.8	2,448.5	1,611.3
Short term borrowings	5,014.0	4,239.6	3,078.2	1,289.1	1,080.8
Total current liabilities	10,688.4	6,156.6	6,026.0	3,737.6	2,692.1
TOTAL EQUITY AND LIABILITIES	15,353.4	10,773.2	10,548.7	7,860.0	6,112.2

OUR DEPOT AND STATION NETWORK



PROXY FORM

The Secretary
Total Kenya Limited
P O Box 30736 - 00100
Nairobi.

I/WE.....

of address

Being a member of Total Kenya Limited, hereby appoint:

of address

whom failing.....

of address

as our/my proxy, to vote for us/me and on our/my behalf at the Annual General Meeting of the Company to be held on 29 May 2007 at KICC, Aberdares and Lenana Meeting rooms, Nairobi and at any adjournment thereof.

As witness our/my hand this..... day of.....2007

Note:

1. This proxy must be delivered to the Company's registered office not later than the close of business on 25 May 2007 failing which it is invalid.
2. In the case of a member being a limited Company this form must be completed under its common seal.